

Skeena Resources

Eskay Creek feasibility lays out route to restart

We re-initiate coverage of Skeena Resources (“Skeena”) with a valuation of C\$15.50/share, 163% above the current share price. Skeena is a TSX/NYSE-listed gold explorer and developer with assets in the “Golden Triangle” region of Northwest British Columbia. The company’s main focus is on developing the past-producing Eskay Creek project, once the highest-grade gold mine in the world, that should be augmented by ore from the nearby Snip deposit (study due H1 2024). Key upcoming catalysts should be the permitting and financing process over the next fifteen months with earthworks having commenced in 2023 and commercial production in 2026.

Updated Feasibility Study delivers robust economics

The company has recently published a definitive feasibility study (“DFS”) for the project that evaluated a 324koz pa gold-equivalent (“AuEq”) mine at an All-in Sustaining Cost (“AISC”) of US\$684/oz based on a 12-year mine life and a reserve of 4.6Moz. The DFS estimated an initial capex budget of C\$713m, delivering an NPV5% of C\$2,003m at an US\$1,800 gold price and US\$23/oz silver price (H&Pe C\$2,052m at US\$1,850/oz gold and US\$25/oz silver Dec’23). Eskay Creek should become one of the largest gold mines in Canada with the lowest AISC globally. Mining will be carried out from two open pits with a plant producing a concentrate that will be shipped for refining. Low-cost power will be supplied from the grid, supporting low operating costs. Skeena’s second project, Snip, historically produced 1.1Moz at a very high grade of 27.5g/t, with an engineering study on re-opening the mine due in H1 2024. Ore from Snip is of sufficient grade to be trucked to Eskay Creek for treatment.

New zones including Eskay Deeps provides long-term upside

Skeena has completed a 14,000m drilling programme to test the potential of the Eskay Deeps with hole SK-22-1081 returning 3.79g/t gold and 59.4g/t silver over 32.19m. Exploration is also focused on the 21A West Expansion with better results from 2022 including 20.24g/t gold and 175.2g/t silver over 24m (SK-22-1122). Other targets include the 22 Zone UG, LM UG and the 23 zone. These new areas are likely to provide additional sources of ore for the mine, extending the life of the operation. A five-year mine-life extension driven by resource conversion and the inclusion of ore from Snip in the second half of the mine’s life would increase our unrisks NAV 23%.

Canadian gold is consolidating with few independents left

The Eskay Creek project and broader 178,000ha regional exploration package is one of the few large-scale assets in Canada outside of the portfolio of one of the major mining companies. The underfunding of exploration in the gold sector over more than a decade has resulted in a dearth of new projects, incentivising M&A. Significant transactions in the sector include the acquisition of Pretium (Brucejack) by Newcrest and Sabina (Back River) by B2Gold. In addition, there have been larger scale mergers between Agnico and Kirkland Lake Gold, Newmont and Newcrest, and Yamana and Agnico/Pan American Silver. Whilst there is a wide range of valuations attributed to these projects and companies, the average transaction multiple on an EV/M&I resource basis was US\$165/oz, which would suggest a valuation of US\$908m (C\$1.2bn) for Skeena. On a per ounce of annual production basis, the average price paid was US\$5,750/oz, which would imply a value for Skeena of US\$1.9bn (C\$2.5bn).

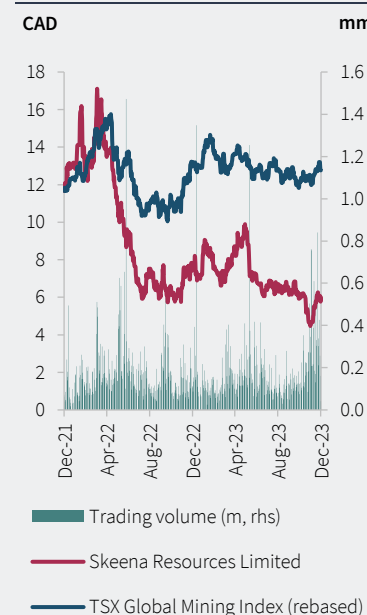
C\$15.50/sh valuation implies 163% upside

Our base assumption values Eskay Creek at C\$2,405m (Dec’24) using a long term gold price of US\$1,850/oz, silver price of US\$25/oz and a WACC of 5%. We value Snip and the likely expansion potential of Eskay Creek at C\$549m. We apply 0.75x and 0.65x multiples, respectively, to take account of development, permitting and finance risks. Including the likely capital structure this implies a valuation of C\$15.50/share.

GICS Sector	Materials
Ticker	SKE.CN
Market cap 15-Dec-23 (C\$m)	524
Share price 15-Dec-23 (C\$)	5.89
Target Valuation (C\$)	15.50

+163%

Upside from current share price to our C\$15.50/sh valuation



Source: S&P CapiQ

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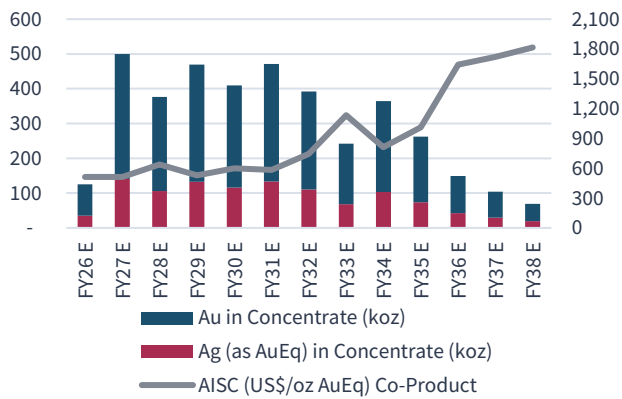
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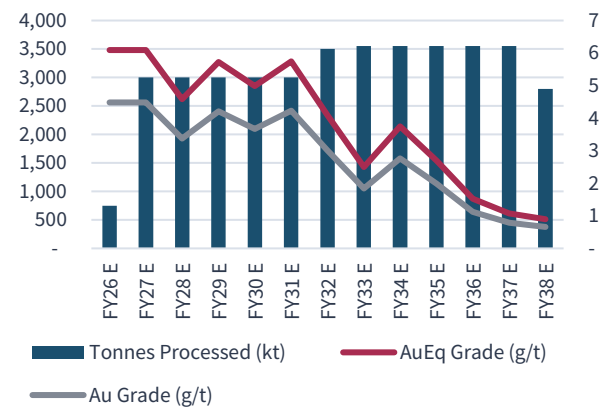
Key Charts

Eskey Creek production and AISC



Source: Company reports, H&P estimates

Eskey Creek tonnes processed and grade



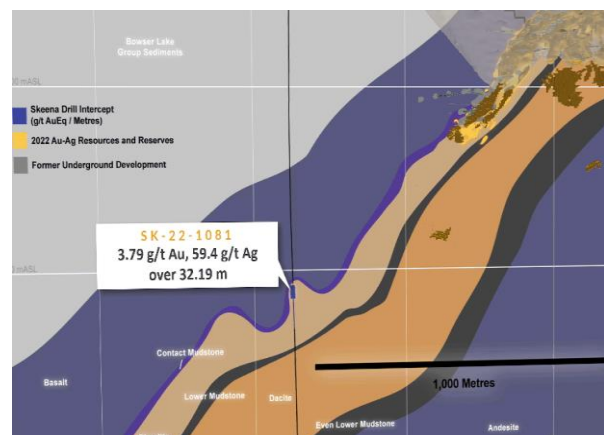
Source: Company reports, H&P estimates

Eskey Creek ore and waste mined and SR



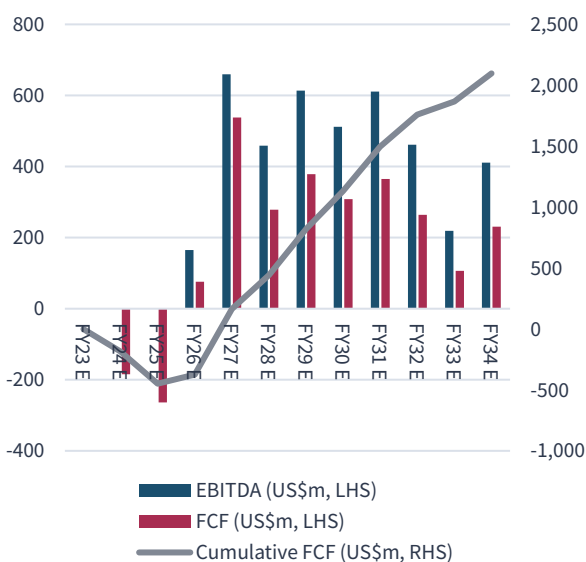
Source: Company reports, H&P estimates

Eskey Deeps demonstrates untapped exploration potential



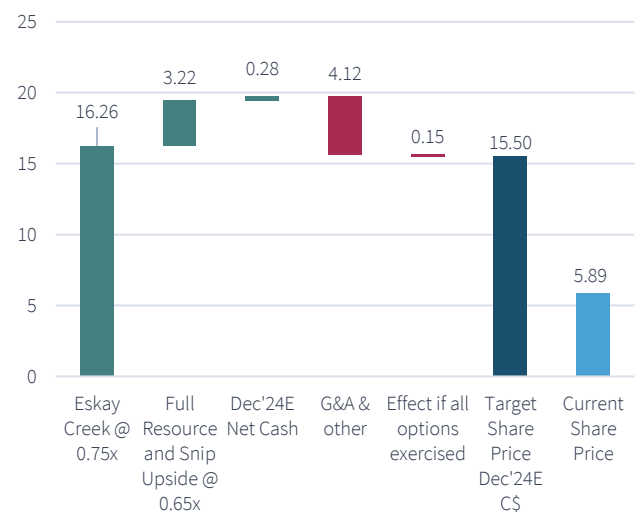
Source: Company

US\$2,260m of cumulative FCF over the 12 year LOM



Source: Company reports, H&P estimates

SOTP generates a risk weighted NAV of C\$15.50/share



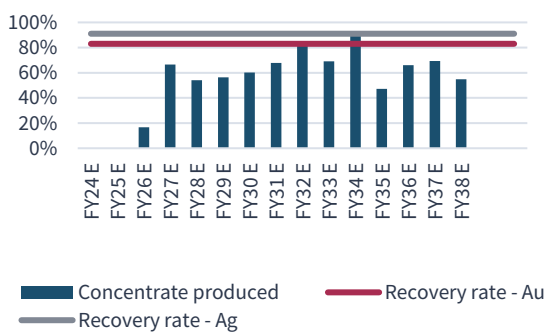
Source: H&P estimates

Executive Summary

Revitalising one of the world's highest grade gold mines

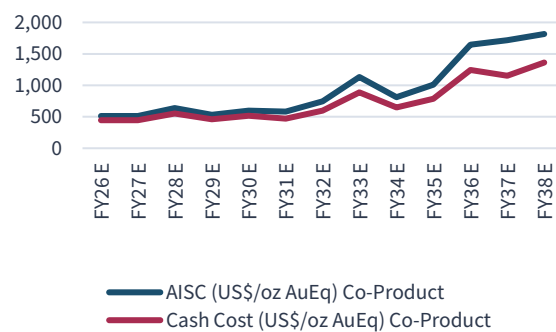
Skeena Resources is a TSX/NYSE listed gold explorer and developer. The Company's primary focus is on Eskay Creek, located in the famous "Golden Triangle" region of Northwest British Columbia. Skeena acquired the project from previous operator Barrick Gold. Eskay Creek was once the highest-grade gold mine in the world, with underground ore containing on average 45g/t Au often shipped directly to smelters without any need for concentration. During the previous period of operation from 1994-2008, the mine produced 3.3Moz of gold and 160Moz of silver. Since the mine closed the gold price has more than doubled and the new operation will have access to low-cost grid power (C\$0.06/kWh) that should drive down operating costs.

Eskay Creek base case production profile



Source: Company Reports, H&Pe

Eskay Creek base case cash costs and AISC



Source: Company Reports, H&Pe

Based on the recently released DFS, Eskay Creek has a reserve of 4.6Moz on a gold equivalent basis at an average grade of 2.6g/t gold and 68.7g/t silver; 3.6g/t on a gold equivalent basis. The mine will be developed as an open pit with processing to produce a concentrate on-site. The operation has an initial life of 12 years with exploration both at depth (Eskay Deeps) and at several other near mine targets that are being followed up that could materially add to the resource. The nearby Snip deposit is also owned by the company and could provide supplementary high-grade tonnes to feed into the plant. The company has identified several options for the marketing of the concentrate and finalising the terms for this will be a key deliverable for the coming months with a deal with Chinese counterparties being the most likely outcome. Average production should be 324koz/year on a gold equivalent basis at an AISC of US\$684/oz (company estimate). Initial capex for the operation should be C\$713m which we expect to be funded through a combination of a stream, debt and equity.

In our opinion, Skeena offers undervalued access to a potential high-margin, short payback brownfield asset within a tier-1 mining jurisdiction, with exploration upside. We expect the shares to rerate as an offtake agreement for the concentrate is secured and the permitting and funding process completed. Once developed, Eskay Creek will be one of Canada's largest gold mines, the highest-grade open-pit mine and the largest mine not owned by a tier-1 mining company. Given the ongoing phase of consolidation that the industry is in, we believe that ultimately Skeena will be acquired. Based on our long-term gold price of US\$1,850/oz, silver price of US\$25/oz and a WACC of 5% our risk-weighted SOTP valuation for Skeena is C\$15.50/share.

Key Upcoming Catalysts

- Receipt of the JA1 permit that would allow for the commencement of site earthworks and pre-stripping in H1 2024
- Completion of project finance package H1 2024
- Awarding of the Environmental Assessment Certificate in H1 2025
- Receipt of the JA2 permit that would allow for the commencement of final construction in H1 2025
- Completion of construction in H1 2026
- Production of first concentrate in Q3 2026
- Ongoing exploration results from Eskay Deeps and other drilling programmes

Feasibility sets out route to restart production

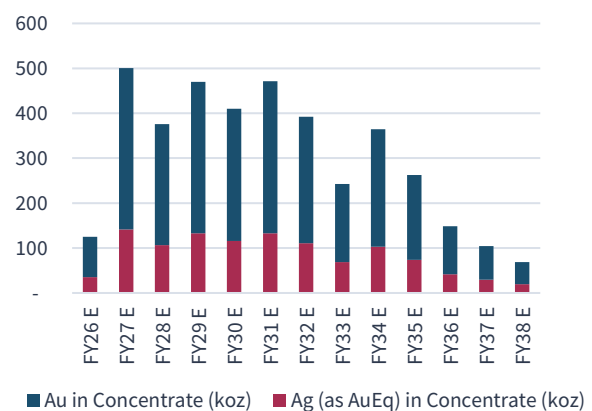
The Eskay Creek underground operated from 1994 to 2008 and produced ~3.3Moz of gold and ~160Moz of silver over its 14-year life. A total of 2.2Mt of ore was mined with throughput averaging a modest 157ktpa. From 1994-1997 ore was directly shipped after blending and primary-crushing, while from 1997-2008 ore was also milled on site to produce a concentrate which was sold to smelters.

Eskay Creek tonnes ore and waste mined



Source: Company Reports

Eskay Creek, gold and silver produced



Source: Company Reports

In November 2023 Skeena published a DFS for Eskay Creek that envisaged an open pit mine with two pits feeding a comminution circuit and flotation plant with a capacity to produce an average of 324koz/year on a gold equivalent basis split between 230koz/year of gold and 6.7Moz/year of silver and with peak production of 455koz/year on a gold equivalent basis in years one to five. The mine would produce a gold and silver rich concentrate that would be marketed by the company to refiners. The concentrate, which is higher grade with lower penalty elements than that suggested by previous studies, should be readily marketable. Eskay Creek should be Canada's lowest cost mine and one of the ten largest gold mines in the country over the life of the mine, and the third largest during the early years of operation.

The 2023 DFS was based on a gold price of US\$1,800/oz and silver price of US\$23/oz that generated a NPV5% of C\$2bn and IRR of 42.9%. Our model is based

on the same mine plan, with a slight production push back, and physical assumptions, but with gold and silver price inputs of \$1,850/oz and \$25/oz, respectively, delivering a pre-construction Dec'23 NPV5% of C\$2,052m and an IRR of 48%.

Eskay Creek base case feasibility assumptions

Eskay Creek DFS		2023 Study	H&Pe Dec'23
Gold Price	US\$/oz	1,800	1,850
Silver Price	US\$/oz	23	25
<i>Production</i>			
Gold Recovery to con	%	83	83
Silver Recovery to con	%	91	91
LoM Annual Average Au Production	koz	230	230
LoM Annual Average Ag Production	koz	6.674	6.674
LoM Annual Average AuEq Production	koz	324	324
<i>Operating Costs Per Tonne</i>			
Mining Cost	C\$/t mined	3.00	3.00
Mining Cost	C\$/t milled	26.74	26.74
Processing Cost	C\$/t milled	19.11	19.11
G&A Cost	C\$/t milled	5.65	5.65
Water treatment	C\$/t milled	2.48	2.48
Total Operating Cost	C\$/t milled	53.98	53.98
<i>Cash Costs and All-In Sustaining Costs</i>			
LoM AISC Net of Silver By-Product	US\$/oz Au	296	355
LoM AISC Co-Product	US\$/oz AuEq	684	764
<i>Capital Expenditures</i>			
Pre-Production Capital Expenditures	C\$m	713	713
Sustaining Capital Expenditures	C\$m	561	561
Reclamation Cost	C\$m	175	175
<i>Economics</i>			
After-Tax NPV (5%)	C\$m	2,003	2,052
After-Tax IRR	%	42.9	48

Source: Company, H&Pe, difference driven by payability assumptions

The 2023 reserve has 33% higher tonnage (39.8Mt) than the 2022 reserve, although with a 10% lower gold equivalent grade (3.6g/t), which results in a 19% increase in gold equivalent ounces (4.6Moz) with 15% more gold (3.3Moz) and 17% more silver (88Moz).

The 2023 study has 20% higher capex compared to the 2022 study with initial capex of C\$713m. The main elements of this increase are:

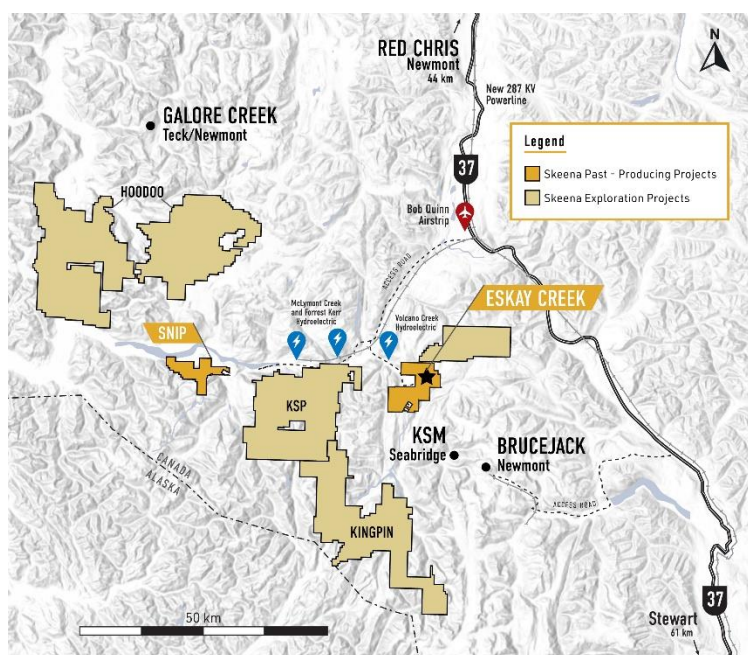
- C\$31m for a water treatment plant
- C\$21m for a permanent on-site camp
- C\$15m for higher camp and travel costs
- C\$9m for a re-design mill building to make it suitable for higher snowfall and to allow for a potential expansion of throughput in the future.
- C\$45m for higher owners costs, EPCM and other

In terms of the operating costs the 2023 study reported a 19% decline in mining costs to C\$3.00/t due to efficiencies from increasing the mining rate to 357.7Mt over 10 years compared to 253.4Mt to be mined over eight years. In addition, equipment leasing principal costs and capitalised stripping costs have been shifted into sustaining capex.

Processing costs were increased by 13% to C\$19.11/t due to higher grinding, reagent consumption and labour costs. Site based G&A was increased by 35% to C\$5.65/t driven by higher labour costs and higher camp and travel costs. The cost of water treatment was also included in the updated study at C\$2.48/t. In aggregate site-based costs increased 5% from C\$51.24/t milled to C\$53.98/t milled. Cash costs in the updated study were US\$567/oz versus US\$572/oz in the previous study with LOM AISC of US\$684/oz compared to US\$652/oz in the 2022 study. We note that this is approximately half the current average AISC for the gold industry globally. Our cash cost and AISC assumptions are higher as we take into account payability of metals within the concentrate produced.

Access to grid power transformational for operating costs

Eskay Creek and Snip would have access to low cost grid power



Source: Company Reports, H&P estimates

Historically, Eskay Creek's mills were powered by relatively high-cost diesel generators, with no access to British Columbia's low cost grid power that is supplied by hydroelectricity. This resulted in the development of a high-grade, low-tonnage operation to minimise milling requirements and power draw. Since the underground mine's closure in 2008, three new hydroelectric facilities with a total capacity of 277MW have been installed in close proximity to Eskay Creek and Snip at McLymont Creek (66MW), Forrest Kerr (195MW) and Volcano Creek (16MW) with a transmission line within 17km of the site. This has a transformative impact on the economics of crushing and grinding ore at Eskay Creek and operating costs for the project. Skeena's DFS envisages a power cost of just C\$0.06/kWhr, driving competitive processing costs.

Post DFS concentrate should be straightforward to market

Previous study work on Eskay Creek had suggested that it would produce a low grade, high impurity concentrate. The DFS has, however, made changes to the circuit that would increase the grade of gold and silver, whilst reducing the level of impurities and potentially increasing the levels of antimony to payable levels in the early years of the mine life and lead and zinc to payable levels during the mid-years of the operation. Furthermore, we note that 70% the indicated and inferred

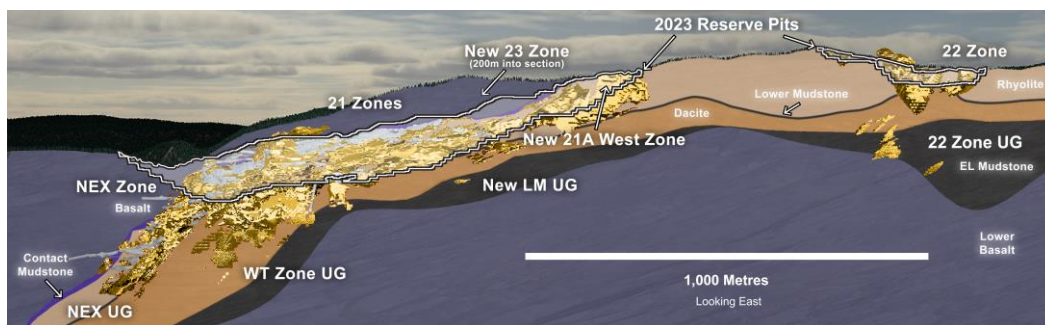
mineralisation is within the metallurgically cleaner rhyolite units, and thus has much lower levels of As, Hg, and Sb compared to the high-grade contact mudstone zones which were the focus of the historic Eskay Creek underground operation. Skeena is also evaluating the higher-grade epithermal system at Snip, which could potentially provide further optionality as a source of “cleaner” high grade ore feed into the mine plan augmenting and extending the mine life. A study is expected to be completed in H1 2024 that should evaluate Snip as a satellite operation to Eskay Creek.

In our view, Chinese smelters are the most obvious customers for concentrate from the project and management has indicated that it has received proposals from Chinese counterparties, especially for high-grade silver concentrate. We note that the Chinese market also has higher mercury tolerance levels, thus limiting penalties incurred by the expected Eskay Creek concentrate. China has the capacity to absorb the expected concentrate volumes produced by the mine with smelters actively seeking future feedstock in order to keep their utilisation high despite environmental regulations being tightened over recent years.

Beyond China, Glencore’s Horne smelter in Quebec, which processed flotation concentrates from the former Eskay Creek underground operation, would be able to handle the penalty elements and has indicated interest in an offtake from the potential future operation. Japanese smelters may also take material from Eskay Creek, and we note Dowa’s Kosaka smelter historically processed direct-shipment ore from the mine.

Exploration upside from Eskay Creek and Snip

Multiple new zones that could extend the life of Eskay Creek



Source: Company reports

The DFS mine plan for Eskay Creek is based on the mining of two open pits, however, there is the potential for exploration to add to this through the development of an underground mine at the project to augment the open pit feed. The re-starting of underground operations at the Snip deposit that could also augment the feed for the Eskay Creek plant with higher grade lower impurity ore. A steepening of the walls of the open pit could also result in the inclusion of deeper ore outside of the planned pit shells.

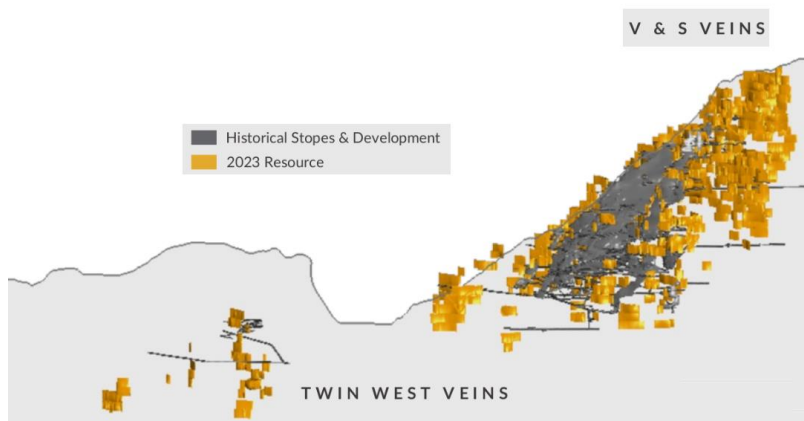
The 14,000m drill programme at Eskay Deeps was focused on downdip extensions of the main pit and historic workings with better results from the 2022 programme including 3.79g/t gold and 59.4g/t silver over 32.19m (SK-22-1081) that is within the lower impurity rhyolite unit. There is also underground exploration potential at the WT Zone, LM UG zone and 22 Zone.

In terms of open pit extensions drilling at the 23, 21A and 21A-West zones has reported several intersections in and adjacent to the planned pit shell, including 20.24g/t gold and 175.2g/t silver over 24m (SK-22-1122) with work ongoing. Beyond Eskay Creek, Skeena has a regional exploration programme with reconnaissance work at the KSP and Kingpin properties.

The Snip deposit was also a high grade past producing mine and Skeena published an updated resource for the project in September 2023 with an indicated resource of 823koz at a grade of 9.35g/t and an inferred resource of 114koz at a grade of 7.1g/t. A maiden engineering study should be released in H1 2024. Snip was previously operated by Barrick with production of 1.1Moz at an average grade of 27.5koz closing in 1999 due to low prevailing gold prices coupled with rising costs.

Snip has previously been evaluated as a standalone operation, however, we believe that it is more likely that it would be used to augment the feed from Eskay Creek as it is both higher grade and lower in impurities. We have modelled a scenario where ore from Snip is used to blend with ore from the Eskay Creek resource from year four of operations. Including the full Eskay Creek resource as well as Snip material would increase the head grade at the Eskay Creek plant from 2.57g/t Au to 2.85g/t and increase LoM production to 5,533koz AuEq, 41% higher than our base case scenario. We have assumed initial capex of US\$70m to restart operations at Snip with a marginal cost increase of C\$20/t milled from Snip. We assume that crushed ore would be transported from Snip with only limited infrastructure required at the site.

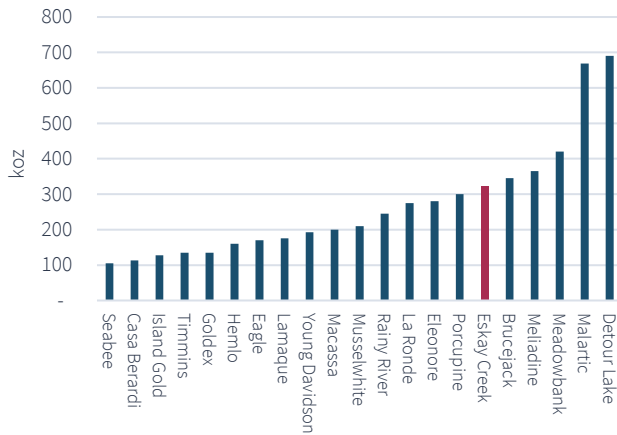
Snip should be a source of high grade, low impurity ore



Source: Company reports

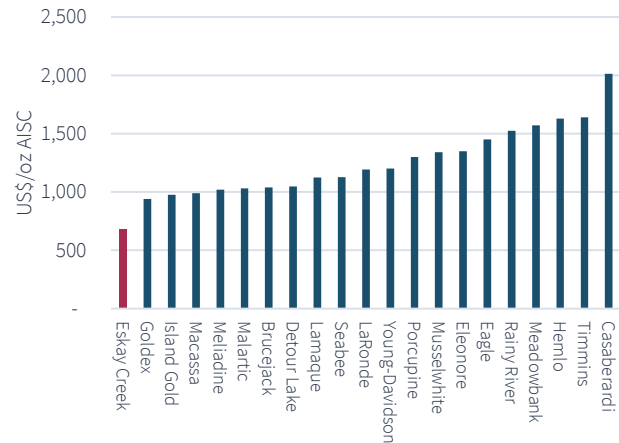
Eskay Creek will be the largest Canadian gold mine not owned by a major, making Skeena a clear target

Eskay Creek will be one of Canada's largest gold mines



Source: Company Reports

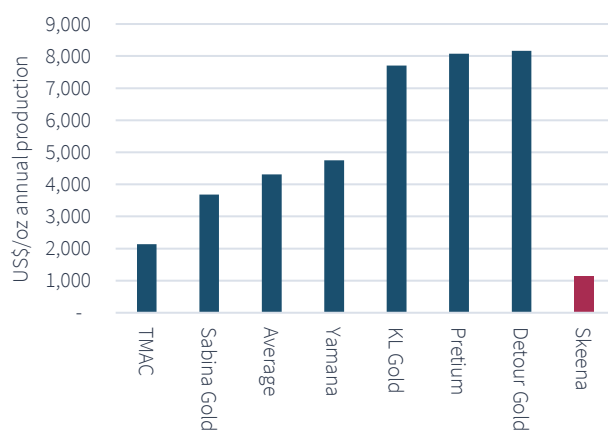
Eskay Creek AISC should be the bottom end of the Canadian peer group driven by high grade



Source: Company Reports

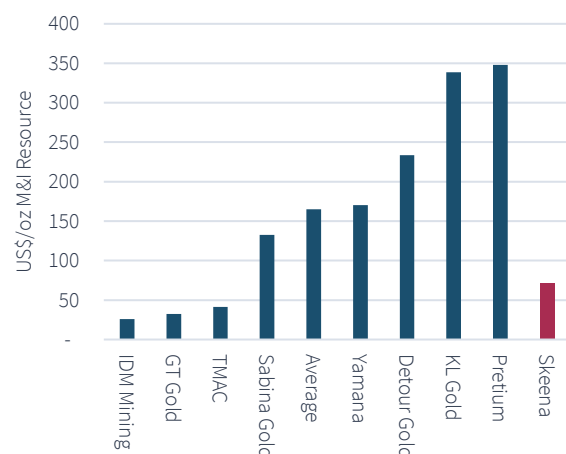
The gold industry has seen significant consolidation in recent years, with several sizeable transactions across the industry including the recently completed merger between Newmont and Newcrest, that has consolidated Newmont's position as the world's largest gold mining company in terms of production. The larger Canadian gold miners have experienced consolidation with Yamana being acquired by Agnico Eagle and Pan American Silver in 2023 and Agnico Eagle merging with KL Gold in 2022. This has also been the case for the gold miners and developers with Detour Gold (Detour Lake) acquired by KL Gold in 2019, TMAC (Hope Bay) acquired by Agnico in 2021, Pretium (Brucejack) acquired by Newcrest (Newmont) in 2022 and Sabina that was acquired by B2Gold in 2023. Given this market context Skeena would be an anomaly if the company were to bring Eskay Creek into production while remaining independent. In our view it is highly likely that Skeena would be acquired as the company owns what should be one of the largest and the lowest cost mines both in Canada and globally.

Recent transactions suggest significant premium for established producers



Source: Company Reports

On a per M&I ounce basis there is a higher premium for producers with Sabina the closest analogue

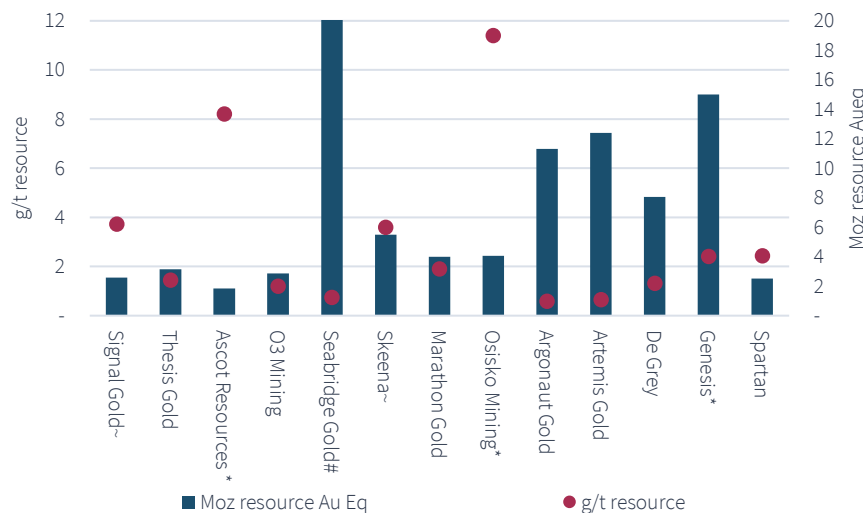


Source: Company Reports

Looking at recent transactions the average value per ounce of actual or planned annual production was US\$5,750/oz with a clear premium for large scale existing producers with assets in Canada. Skeena is currently trading at a value of US\$1,126/oz and we believe that it should re-rate to at least the same level as Sabina (US\$3,681/oz), which owned the Back River gold project that is of similar scale but lower annual production in comparison to Eskay Creek. This would suggest a valuation of C\$18.5/share.

Looking at the other gold developers, Eskay Creek has high grade for an open pit project with a life-of-mine grade of 3.6g/t compared to the average grade of 1.74g/t for the open pit peers. Including the 9.35g/t indicated resource from Snip, the average grade for the Snip-Eskay Creek combined resource would be 3.79g/t. We note that the ore from Snip also has lower impurities than that from Eskay Creek and blending the two could produce a concentrate that would have improved marketability.

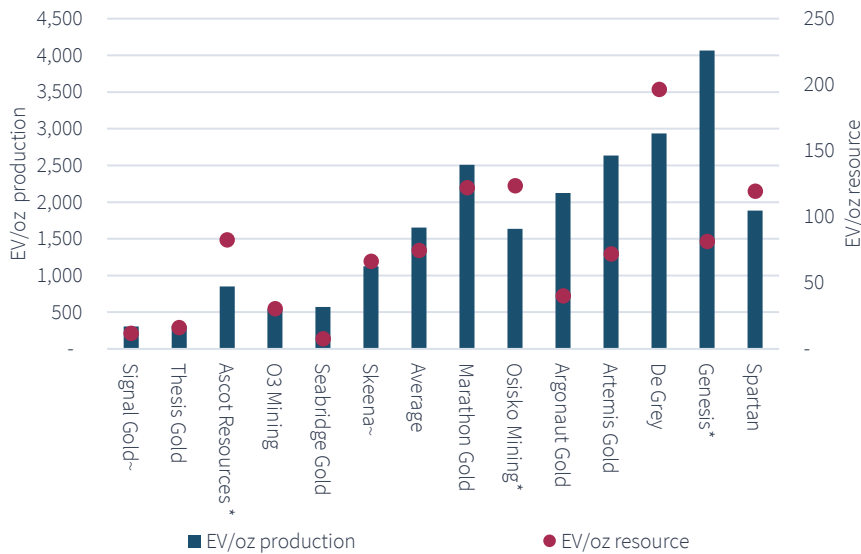
Eskay Creek is one of the highest grade open pitable deposits and could be augmented by ore from Snip



Source: Company websites, *potential underground mine, #Seabridge 138Moz Au Eq, ~potential open pit and underground

With a combined Eskay Creek-Snip M&I resource of 6.6Moz Skeena is a large enough project to be a target for a tier-I or II mining company. We note that those companies with larger resources, including Seabridge that owns the vast KSM deposit that is near Eskay Creek, have far lower average grades. While such projects would comfortably meet the size criteria that larger mining companies require they also typically have materially higher capital costs, a particular concern in the current inflationary environment. Those companies with higher grade, such as Ascot, which is also in the same 'Golden Triangle' region of British Columbia as Skeena, have projects that would not meet the size criteria for a larger miner from an M&A perspective with multiple smaller deposits being mined rather than a single large orebody. In our view Eskay Creek-Snip hits the sweet spot with high grade and a large resource within a single project that would sustain production at a level that would be meaningful for a larger company over a long period with low AISC.

Skeena trades at a ~US\$8/oz discount to the average for the developers, the combination of grade, scale and low AISC justify a premium rating



Source: Company websites, *potential underground mine, #Seabridge 138Moz Au Eq, ~potential open pit and underground

Skeena is trading at US\$66/oz on and EV/oz M&I basis, which is a ~US\$8/oz discount to the peer group average. The peer group bifurcates with Marathon, Osisko Mining, Ascot, and the Australian developers trading at a premium and Signal, Thesis, O3, Seabridge, Argonaut, and Artemis trading at a discount. Skeena is also trading below the Canadian peer group average on the basis of EV/oz of potential production; US\$1,126/oz vs. US\$1,654/oz. Given the scale and grade of Eskay Creek we would expect it to trade in line with the premium peers as it moves through the final elements of the permitting and financing process with the negotiation of commercial terms around the concentrate marketing also key.

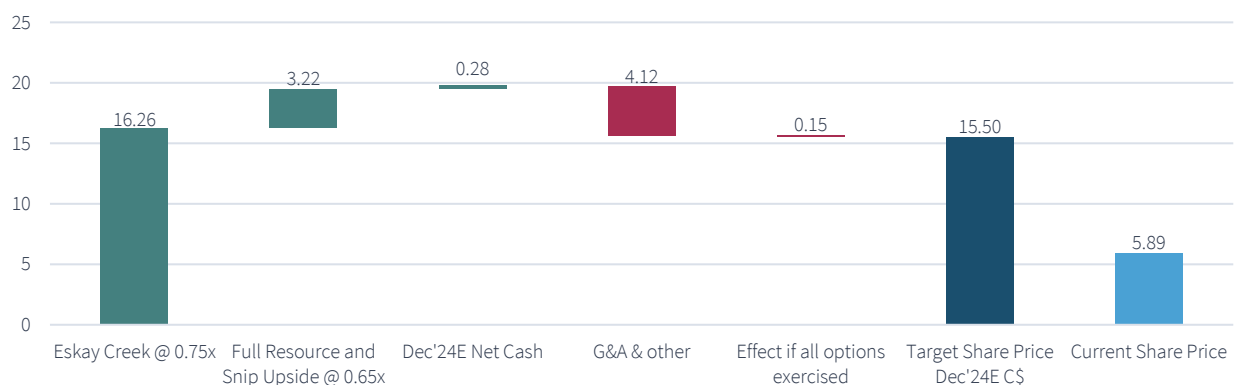
Valuation

We have applied the key parameters outlined in the 2023 DFS for Eskay Creek with initial capex of C\$713m, average annual production of 230koz gold and 6.6Moz silver over a 12-year life. Using long-term gold and silver price assumptions of US\$1,850/oz and US\$25/oz, we derive a pre-construction Dec'23 NPV for Eskay Creek of C\$2.1bn, using a 5% WACC. We apply a long term C\$ exchange rate of 1.35. We expect average annual FCF of C\$304m over the life of the operation, with an average of C\$426m over the first 5 years.

Due to the project's current stage ahead of financing, permitting and construction we apply a 0.75x P/NPV risk weighting to our Eskay Creek DCF (C\$2,405m unrisked as at Dec'24) in our SOTP valuation for Skeena. As described earlier, we see upside to these estimates as Skeena continues to explore Eskay Deeps and other prospective areas within the project area. In addition, there is the potential for Snip to be developed as a source of additional feed for the plant at Eskay Creek. We have modelled a scenario under which from year four, 200kt/year of higher grade crushed ore is trucked from Snip to augment the feed from Eskay Creek increasing to 300kt/year from year eight. We have combined this with the assumption that exploration at Eskay Creek is successful and the resource is converted to reserve at current grades. This would increase the average processed grade by 10% in terms of gold and decrease 18% in terms of silver. We also apply a 0.65x NAV multiple to this scenario.

We make deductions for the environmental rehabilitation bond and ongoing G&A, as well as the impact of the funding structure for the project, as further detailed below. This gives an overall Dec'24E diluted valuation of C\$15.50/sh, 163% above the current share price.

Skeena SOTP valuation

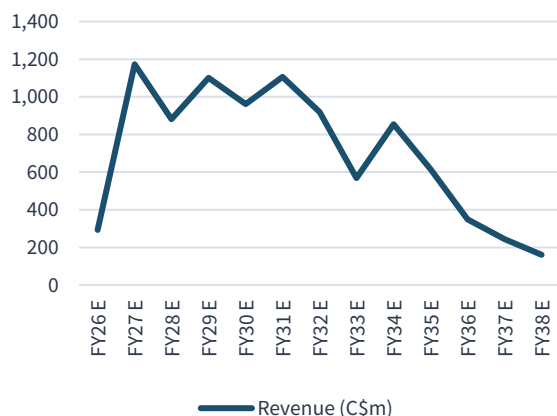


Source: H&Pe

Financials

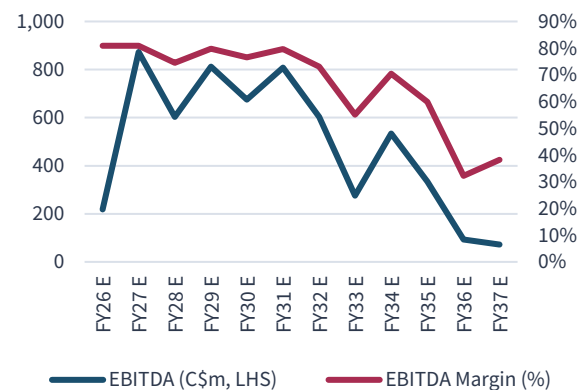
Skeena is an explorer and developer with no current revenues. We assume that the company restarts operation of the Eskay Creek mine in line with the assumptions in the recent feasibility study. We expect average revenues of US\$570m/year over the 12 years of the mine life based on the base case scenario at US\$1,850/oz for gold and US\$25/oz for silver with average revenues of US\$653m over the first five years when production should be higher. Gold should account for 67% of revenues. We assume a royalty rate of 2% for the deposit with average annual royalties of US\$10m.

Skeena revenue (C\$m)



Source: H&Pe

Skeena EBITDA and EBITDA margin



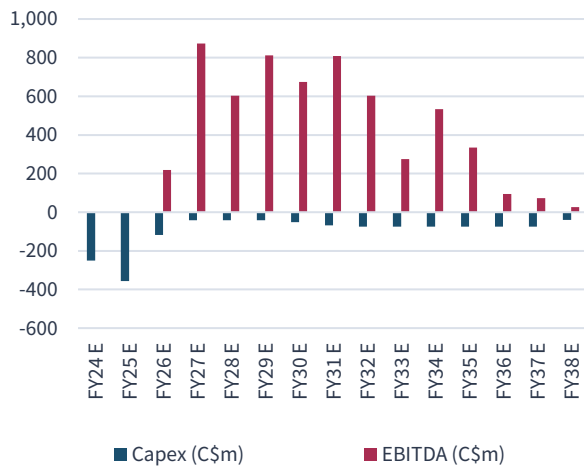
Source: H&Pe

We expect average cash costs of US\$579/oz and for annual costs of US\$190m, in addition to which we have assumed annual corporate G&A of US\$14m. EBITDA should average US\$351m, peaking at US\$659m in 2027 with the average EBITDA margin of 67%, 79% during the first five years of operation.

The company should pay Canadian federal income tax of 15% and provincial income tax at 12%. In addition it will be liable to pay the BC Minerals Tax which was modelled using a net current proceeds rate of 2% and a net revenue tax rate of 13%. We expect the mine to pay tax at an average effective rate of 35% on taxable income and with a total of C\$1.6bn paid over the life of the mine. Aggregate NPAT should be C\$3.2bn, averaging C\$271m over the initial 12 years of the mine life.

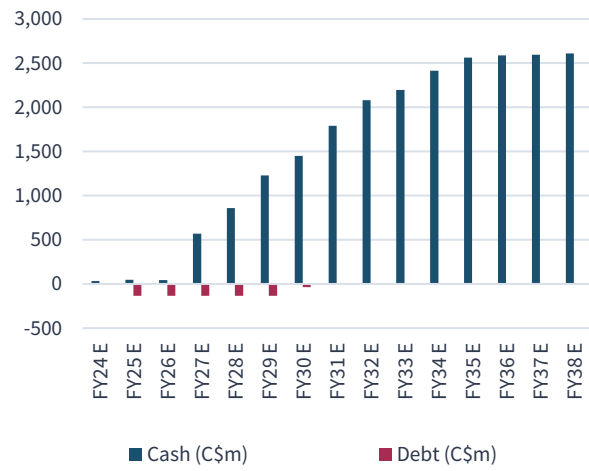
Skeena finished Q3 with C\$38m of cash and no long term debt aside from C\$2.5m associated with lease liabilities. Initial capex for the development of Eskay Creek should be C\$713m with sustaining capex of C\$561m and closure costs of C\$175m. The company should be able to fund the initial requirements through a combination of streaming, debt and equity. Assuming that the company raised C\$455m through a stream with C\$135m of equity and C\$135m of debt with a five year term and interest rates of 7% this would result in ND/EBITDA peaking in 2026 before transitioning to a net cash position the following year. If we assume that shares are issued at C\$6.00/sh then this would result in total number of issued shares of 22.5m and a total number of outstanding shares of 111m compared to 88m at present. We expect aggregate post tax FCF of C\$3.1bn from Eskay Creek under our base case scenario, with an average of C\$252m/year and peaking at C\$727m in year 2027.

Skeena EBITDA and Capex



Source: H&Pe

Skeena debt and cash



Source: H&Pe

Financial Statements Summary

Income statement							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Revenue	C\$m	-	-	-	-	269.8	1,079.1
Cost of Sales	C\$m	-	-	-	-	(47.3)	(189.0)
Depreciation	C\$m	(0.3)	(0.2)	-	-	(13.6)	(54.4)
Gross profit/(loss)	C\$m	-	-	-	-	222.5	890.1
Total operating costs	C\$m	(112.6)	(101.3)	(65.7)	(15.7)	(57.2)	(181.6)
Operating profit/(loss)	C\$m	(112.6)	(101.3)	(65.7)	(15.7)	165.3	708.5
Interest income	C\$m	1.4	2.0	0.4	(0.6)	1.0	6.6
Finance Costs	C\$m	(0.5)	(0.7)	-	-	(9.5)	(9.5)
FX gains/losses	C\$m	-	-	-	-	-	-
Other gains/(losses)	C\$m	22.8	3.8	-	-	-	-
Profit/(Loss) before tax	C\$m	(88.9)	(96.2)	(65.3)	(16.4)	156.9	705.6
Income tax (expense) / benefit	C\$m	-	-	-	-	(3.1)	(121.1)
Net profit/(loss)	C\$m	(88.9)	(96.2)	(65.3)	(16.4)	153.8	584.5
EBITDA	C\$m	-	-	-	-	218.3	873.2

Cash flow statement							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Profit/(loss) before tax	C\$m	(88.9)	(96.2)	(65.3)	(16.4)	156.9	705.6
Depreciation & amortisation	C\$m	1.9	0.2	-	-	13.6	54.4
Working capital change (increase)/decrease	C\$m	6.2	15.3	(0.6)	0.8	(45.6)	(60.7)
Tax (paid)/received	C\$m	-	-	-	-	(3.0)	(120.6)
Other non-cash expenditures	C\$m	(12.6)	2.9	-	-	-	-
CFO	C\$m	(93.4)	(77.8)	(65.9)	(15.5)	122.0	578.7
Additions to PPE	C\$m	(1.3)	-	(249.6)	(356.5)	(117.5)	(42.3)
Other	C\$m	12.7	(19.3)	-	-	-	-
CFI	C\$m	11.4	(19.3)	(249.6)	(356.5)	(117.5)	(42.3)
Minimum debt repayments	C\$m	-	-	-	-	-	-
Other movement in net debt	C\$m	-	-	-	135.0	135.0	135.0
New equity issued	C\$m	49.9	69.5	135.0	-	-	-
Other	C\$m	32.4	(0.5)	199.5	254.5	(145.0)	(145.0)
CFF	C\$m	82.3	68.9	334.5	389.5	(10.0)	(10.0)
Net change in cash	C\$m	0.3	(28.2)	19.0	17.4	(5.6)	526.4
FX impact on cash & equivalents	C\$m	-	-	-	-	-	-
Beginning cash & equivalents	C\$m	40.3	40.6	12.4	31.5	48.9	43.3
Ending cash & equivalents	C\$m	40.6	12.4	31.5	48.9	43.3	569.7

Balance sheet							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Cash	C\$m	40.6	12.4	31.5	48.9	43.3	569.7
Receivables	C\$m	5.7	5.0	5.0	5.0	22.2	88.7
Inventory	C\$m	-	-	-	-	3.9	15.5
Other	C\$m	3.8	5.2	5.8	5.0	5.3	5.4
Current Assets	C\$m	50.1	22.7	42.3	58.8	74.7	679.3
PPE	C\$m	20.2	20.0	269.6	626.1	730.0	717.9
Other	C\$m	97.6	101.0	101.0	101.0	101.0	101.0
Non Current Assets	C\$m	117.9	121.1	370.6	727.1	831.0	818.9
Payables	C\$m	14.0	30.0	30.0	30.0	5.8	23.3
Short Term Debt	C\$m	-	-	-	-	-	-
Other	C\$m	6.9	3.1	3.1	3.1	3.1	3.1
Current Liabilities	C\$m	20.9	33.1	33.1	33.1	8.9	26.4
Long term debt	C\$m	-	-	-	135.0	135.0	135.0
Other	C\$m	9.9	9.4	208.9	463.3	463.0	462.9
Non Current Liabilities	C\$m	9.9	9.4	208.9	598.3	598.0	597.9
Total Equity	C\$m	137.2	117.0	186.7	170.3	324.1	908.6
Other	C\$m	-	-	-	-	-	-

Source: H&Pe

Financial Statements Summary

Ratios & other key items		2022A	2023E	2024E	2025E	2026E	2027E
Year end December							
Yr end shares issued	m	70.3	84.2	88.4	110.9	110.9	110.9
Revenue Growth	%	NA	NA	NA	NA	NA	300%
EBITDA margin	%	NA	NA	NA	NA	81%	81%
EBIT margin	%	NA	NA	NA	NA	76%	76%
Net cash/(debt)	C\$m	40.6	12.4	31.5	(86.1)	(91.7)	434.7
Net debt/equity	%	-30%	-11%	-17%	51%	28%	-48%
FCF	C\$m	5.3	0.1	(250.2)	(356.9)	37.5	647.8
FCF/share	C\$/sh	0.1	0.0	(2.8)	(3.2)	0.3	5.8
Capital employed	C\$m	147.10	126.44	395.59	768.67	922.08	1,506.52
EPS	C\$m	(126.36)	(114.30)	(73.87)	(14.77)	138.66	527.03
ROCE	%	-77%	-80%	-17%	-2%	18%	47%
ROE	%	-65%	-82%	-35%	-10%	47%	64%
EV/EBITDA	x	NA	NA	NA	NA	3.4	0.3
EV/Sales	x	NA	NA	NA	NA	2.8	0.2
Production volumes							
Year end December		2022E	2023E	2024E	2025E	2026E	2027E
Gold contained in concentrate	koz	-	-	-	-	90	359
Silver contained in concentrate	koz	-	-	-	-	2,613	10,451
Gold equivalent contained in concentrate	koz	-	-	-	-	125	500
Payable gold in concentrate	koz	-	-	-	-	85	341
Payable silver in concentrate	koz	-	-	-	-	2,378	9,510
Payable gold equivalent in concentrate	koz	-	-	-	-	117	470
Gold and Silver Price Assumptions							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Gold Price	US\$/oz	1,850	1,850	1,850	1,850	1,850	1,850
Silver Price	US\$/tonne	25	25	25	25	25	25
Costs							
Year end December		2022A	2023E	2024E	2025E	2026E	2027E
Cash costs US/oz	US\$/oz					446	446
AISC US\$/oz	US\$/m					512	512
Reserves & Resources (gold equivalent)							
Eskay Creek & Snip		Total					
Reserves: (P,P)	koz	4.6					
Resources (M&I)	koz	6.32					
Market cap, net debt & enterprise value							
Year end December			2024E	2025E	2026E	2027E	
Market Cap (Yr end)	C\$m		653.2	653.2	653.2	653.2	
Net Cash/(Debt)	C\$m		31.5	(86.1)	(91.7)	434.7	
EV	C\$m		621.7	739.3	744.9	218.5	

Source: H&Pe

Sensitivity analysis

The main drivers of Skeena's valuation outside of its control are gold prices, silver prices, exchange rates, fuel costs, labour, TCs and RCs (Treatment and Refining Charges).

As expected, the standout factor in determining Skeena's profits is the price per ounce of gold. The chart below shows the base case Eskay Creek DCF sensitivity to gold price and WACC based on a fixed increases/decreases from our input assumptions of US\$1,850/oz and 5% respectively. For every 1% increase in our long-term gold price assumption of \$1,850/oz, our model predicts that the Eskay Creek DCF value would increase by C\$29m, or 1.4%.

As we have described above, our model takes the mine plan, capex and operating cost parameters as outlined in the company's 2023 feasibility study. However, we apply US\$1,850/oz for gold, US\$25/oz for silver and a USD:CAD exchange rate of C\$1.35/US\$, whereas the study was based on US\$1,800/oz, US\$23/oz and C\$1.35/US\$, respectively.

NAV sensitivity to gold price and WACC (US\$m)

		Gold Price (US\$/oz)						
		1,700	1,750	1,800	1,850	1,900	1,950	2,000
WACC	3.5%	1512	1578	1644	1709	1775	1840	1905
	4.0%	1453	1517	1580	1643	1707	1770	1833
	4.5%	1397	1458	1520	1581	1641	1702	1763
	5.0%	1343	1402	1462	1520	1579	1638	1696
	5.5%	1292	1349	1406	1463	1519	1576	1633
	6.0%	1242	1298	1353	1407	1462	1517	1571
	6.5%	1195	1248	1301	1354	1407	1460	1513

Source: H&Pe

NAV sensitivity to capital costs (X-axis) and operating costs (Y-axis) (US\$m)

		Capex						
		85%	90%	95%	100%	105%	110%	115%
Opex	85%	1706	1678	1651	1623	1595	1567	1539
	90%	1672	1644	1616	1589	1561	1533	1505
	95%	1638	1610	1582	1554	1527	1499	1471
	100%	1604	1576	1548	1520	1492	1464	1436
	105%	1570	1542	1514	1486	1458	1430	1402
	110%	1536	1508	1480	1451	1423	1395	1367
	115%	1501	1473	1445	1417	1389	1360	1331

Source: H&Pe

Investment Risks

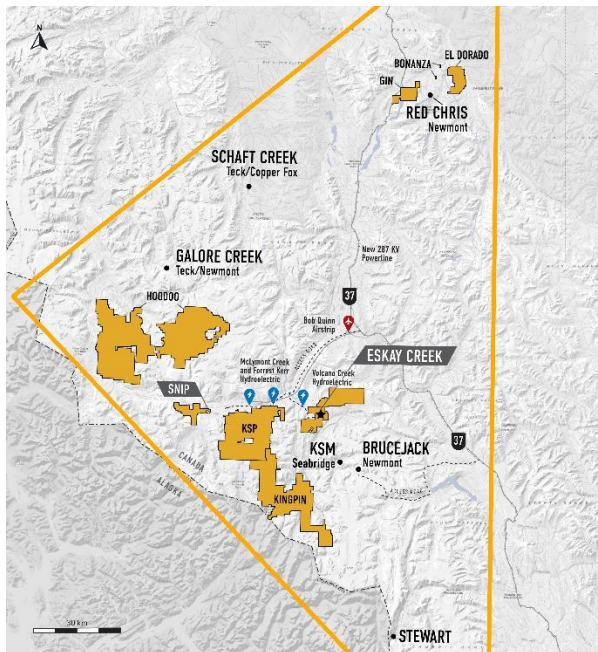
Key risks to our valuation include:

- Higher or lower actual gold and silver commodity prices relative to our assumptions
- Volatility in the C\$ to US\$ exchange rate relative to our assumptions
- Uncertainties around project timing, development capex, operating unit costs and payability of concentrate product for both Eskay Creek and Snip
- Upside/Downside risks to lower/higher than expected deleterious element smelter penalties or lower/higher than anticipated levels of these elements in Eskay Creek's concentrate output.
- Unidentifiable risks which even a combination of professional evaluation and management experience may not be able to eliminate such as natural calamity, civil unrest, etc.
- Environmental risks: PEA estimates suggest the generation of PAG (potentially acid generating) waste products from mining and processing, although historically this has been mitigated through sound operational practices. PAG will be stored in the permitted storage facility; Tom Mackay
- Whilst Skeena has an extremely positive relationship with First Nations, it is worth noting that 70% of the Golden Triangle operates within Tahltan First Nation territory and that other mining projects have the ability to negatively impact relations between the Tahltan Nation and the wider mining industry. An agreement was reached in 2022 between British Columbia and the Tahltan Central Government that recognised the Tahltan's right to manage resource development within their territory. This set out a framework for the environmental assessment process. We also view it as a positive that Skeena, the BC government and the Tahltan Central Government signed a charter at the beginning of 2023 to collaborate on the workplan for environmental and other permitting. As part of this consultative process Skeena incorporated the Tahltan's desire for all tailings material to be stored in a subaqueous environment into the design of Eskay Creek in the fully permitted Tom Mackay Lake Tailings storage facility.
- Inflation changes, capex overruns and increased operating costs.
- Permitting: Skeena is yet to obtain the relevant permits allowing construction and pre-production stripping to occur. Delays or denial of permits are possible but unlikely in the eyes of the company given the previous activity at Eskay Creek.

Asset Overview

Skeena Resources Limited is a junior Canadian mining exploration company focused on developing prospective precious metal properties in the Golden Triangle region of British Columbia, Canada. The company's flagship asset is the Eskay Creek Project, previously one of the world's most prolific producing gold mines. The company also has 100% ownership of the Snip resource, another historic mine west of Eskay Creek that was also acquired from Barrick in 2017.

Assets located in the Golden Triangle of British Columbia



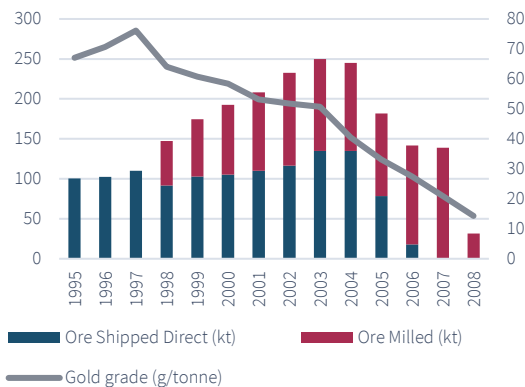
Source: Company Reports

Eskay Creek

The Eskay Creek Project is situated in British Columbia (BC), Canada. The site is 83km away from Stewart in the area of BC known as the Golden Triangle. Other notable projects in the Golden Triangle include Pretium's Brucejack and Valley of the Kings gold deposits, Newmont's Red Chris porphyry copper-gold mine, Teck and Newmont's Galore Creek, Teck's Schafer Creek copper-gold deposit, Seabridge's KSM Project, and Ascot's Premier Project. The Eskay Creek Project is located near Smithers and Terrace, two mining communities which provide the primary support services for mines within the region. Both communities are accessible by commercial airlines with daily flights to and from Vancouver. The project is located in Tahltan Territory, with which Skeena has a good relationship. Following an agreement between the BC government and the Tahltan Eskay Creek will be the first project to have its permits authorised by an indigenous government.

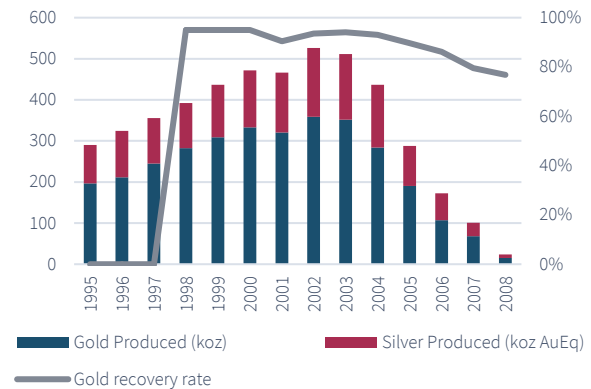
The Eskay Creek deposits have been the focus of considerable historic exploration activity dating back to 1932. Exploration drilling in 1988 led to the discovery of the 21A and 21B zones, followed by underground development of the 21B zone starting in 1990 with the official opening of the Eskay Creek Mine in 1994. Over the 14-year life of the mine, approximately 2.2 million tonnes of ore were mined with cut-off grades ranging from 12-15 g/t gold equivalent for mill ore and 30 g/t gold equivalent for smelter ore.

Eskay Creek, historic tonnes shipped, milled and grade



Source: Company Reports

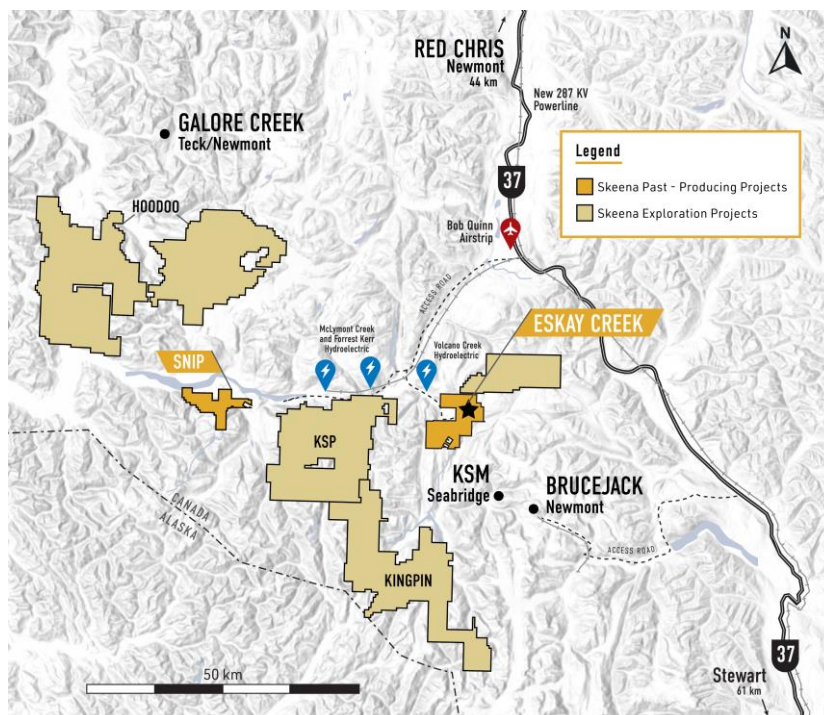
Eskay Creek, gold and silver produced and recovery



Source: Company Reports

It is estimated that the mean annual total precipitation at the site is $2,500 \pm 500$ mm and that 55-71% of precipitation falls as snow. Exploration activities can be curtailed by conditions in the winter as the average temperature in January is -10.4°C . Previous mining operations were conducted year-round and thus it is expected that Skeena will be able to operate year-round too.

Eskay Creek location map – excellent access to infrastructure



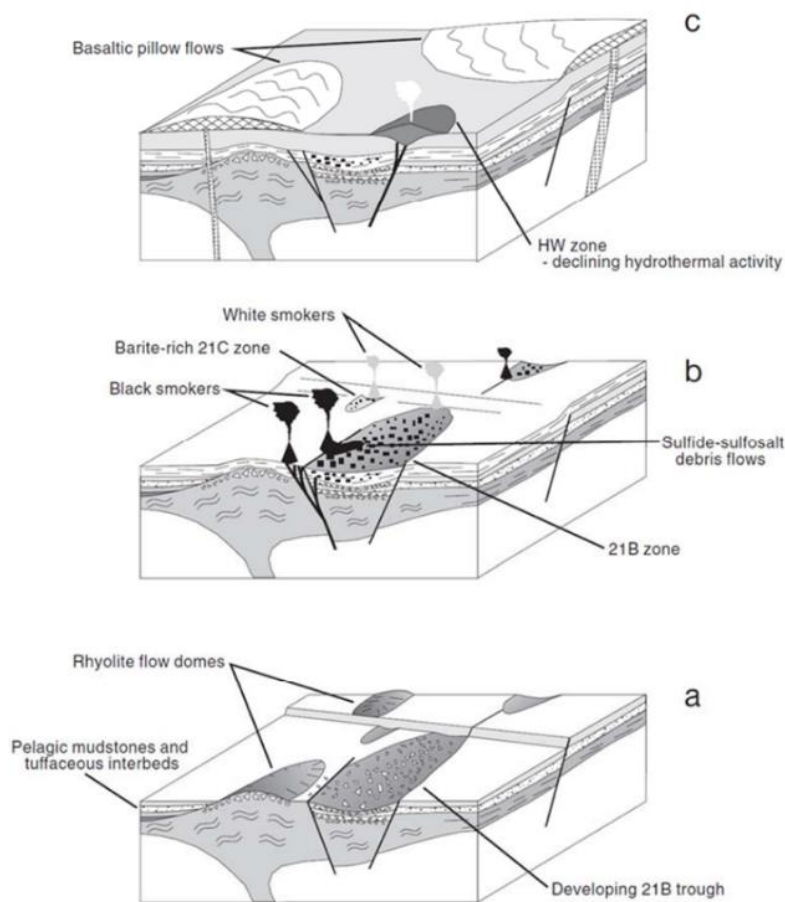
Source: Company Reports

The Eskay Creek Project lies on the Prout Plateau, an upland area with an average elevation of 1,100 m (amsl), located on the eastern flank of the Boundary Ranges. The plateau is characterised by northeast-trending ridges and is drained by tributaries of the Stikine-Iskut and Unuk Rivers. The former Eskay Creek mine site is at approximately 800 m elevation. Mountain slopes are heavily forested. There are no known federal, provincial or regional parks, wilderness or conservancy areas, ecological reserves, or recreational areas near Eskay Creek.

Geology

The Eskay Creek Project is in the Iskut River region located within the Intermontane Tectonic Belt of the Northern Cordillera. Deformed and metamorphosed sedimentary and volcanic rocks of the Paleozoic Stikine Assemblage are overlain by volcano-sedimentary arc complexes of the Stikinia Assemblage (Triassic Stuhini Group and Lower to Middle Jurassic Hazelton Group). These units are subsequently overlain by Upper Jurassic to Lower Cretaceous siliciclastic sedimentary rocks of the Bowser Lake Group that formed an overlap assemblage following the amalgamation of the Stikine and Cache Creek Terranes. Six distinct plutonic suites have been recognised in the area and commonly intrude all assemblages.

Eskay Creek deposit formation



Source: Company Reports

Two possible classifications exist for the Eskay Creek Project deposit. The first is a high-grade, precious metal-rich epithermal volcanogenic massive sulphide (VMS) deposit. The second, a subaqueous hot spring gold-silver deposit. Eskay Creek displays characteristics aligning with both scenarios. A genesis model by Roth *et al.* (1999) suggests to following (as seen in the figure below):

- Rifting, basin development and intrusion and extrusion of rhyolite flow domes
- Coarse volcanoclastic debris from extrusive portions of the rhyolite domes are deposited along the developing 21B Zone trough
- Hydrothermal activity is focused through rift faults forming chimneys and mounds on the seafloor. Collapse or disruption of these mounds forms clastic sulphide-sulfosalt debris which is redeposited in the 21B Zone trough. Other smaller basins provide the sites for similar mineralisation and barite-rich zones (21C Zone) related to white smokers
- The HW zone of massive sulphide forms higher in the mudstone stratigraphy and basaltic magmatism begins (dykes and flows) during the waning stages of hydrothermal activity

The Eskay Creek Project has several distinct styles of both stratiform and discordant mineralisation spanning a surface area of just under 0.5km².

The stratiform mineralisation areas are hosted within black carbonaceous mudstones and sericitic tuffaceous mudstones of the Contact Mudstone (part of the Iskut River Formation), located between the footwall rhyolites and hanging wall mafic units. The stratiform hosted zones include the 21B Zone, the NEX Zone, the 21A Zone (characterised by arsenic–antimony–mercury sulphides), the 21C Zone, the 21Be Zone and the 21E Zone. Stratigraphically above the Contact Mudstone mineralisation, and usually above the first basaltic sill, the mudstones also host a localised body of base metal-rich, relatively precious metal-poor, massive sulphides referred to as the Hanging Wall or HW Zone.

Eskay Creek Resource and Reserve

	kt	AuEq	Au g/t	Ag g/t	AuEq Moz	Au Moz	Ag Moz
Proven	28.0	4.1	3.0	80.9	3.7	2.7	72.7
Probable	11.9	2.3	1.8	40.1	0.9	0.7	15.3
Total	39.8	3.6	2.6	68.7	4.6	3.3	88.0
Measured	27.8	4.6	3.3	87.9	4.1	3.0	78.6
Indicated	22.3	2.1	1.6	32	1.5	1.1	22.9
M&I	50.1	3.4	2.6	63	5.5	4.1	101.4

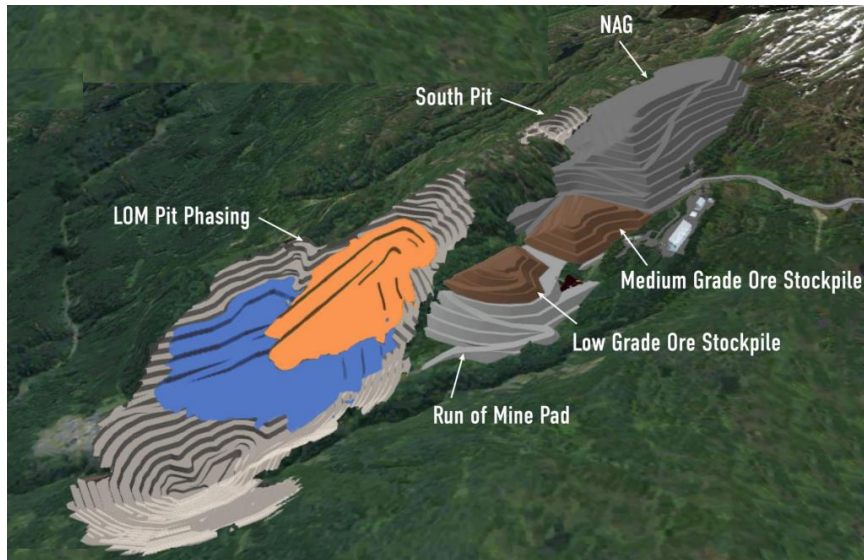
Source: Company Reports

Skeena published an updated resource for Eskay Creek in June 2023 with a total measured and indicated resource of 5.5Moz on a gold equivalent basis at an average grade of 3.4g/t split between 4.1Moz of gold at 2.6g/t and 101.4Moz of silver at 63g/t. The assumed gold price for the resource was US\$1,700/oz with a silver price of US\$23/oz. Average recoveries were assumed to be 84% for gold and 88% for silver. The reserve, which was updated in November 2023 is based on the resource and was based on the same gold and silver price assumptions. The reserve stands at 39.8Mt at a gold equivalent grade of 3.6g/t on a gold equivalent basis; 2.6g/t gold and 68.7g/t silver. The reserve stands at 4.6Moz on a gold equivalent basis; 3.3Moz of gold and 88Moz silver. The 2023 reserve has 33%

higher tonnage than the 2022 reserve, although with a 10% lower gold equivalent grade, which results in a 19% increase in gold equivalent ounces with 15% more gold and 17% more silver.

Mining

Eskay Creek pit, stockpile and non acid generating (NAG) waste storage



Source: Company Reports

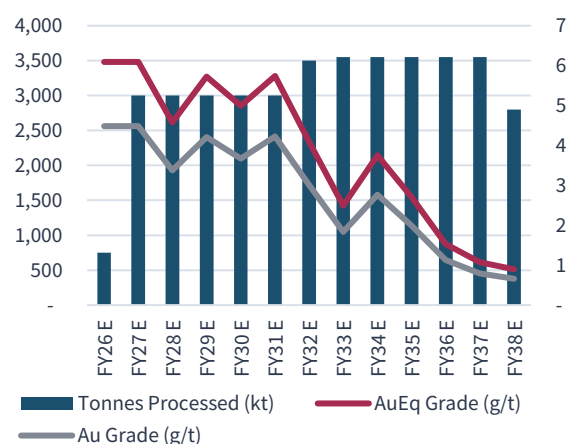
The DFS is based only on open pit mining at Eskay Creek as it is considered that this method offers the most reasonable approach given previous mining activities, knowledge of mineralisation and metal prices. Skeena plans to operate two pits at Eskay Creek; the Main Pit and the South Pit. The Main Pit will be the primary mining operation and will have 10 phases with the south pit mined in a single phase that will be mined toward the end of mine life. The two pits are expected to provide 39.8Mt of mill feed grading 2.6/t Au and 68.7g/t Ag. Mined waste will equate to 317.9Mt thus giving the Eskay Creek Project an average strip ratio of 8:1.

Mineralisation and waste tonnage mined, SR (kt)



Source: Company Reports, H&P estimates

Mill feed (kt) versus head grade (g/t) in Au and Au eq



Source: Company Reports, H&P estimates

Mining is scheduled to provide 3Mt/year of feed to the mill over years 1-5 and then 3.5Mt over years 6-12. Prior to this, two years of pre-production stripping will occur. Pre-production is planned to commence in 2024 and the first feed deliveries

to the mill are expected in 2025. The pits are sequenced to minimise initial stripping and provide higher feed grades in the early years of the mine's life with average production in years 1-5 of 455koz on a gold equivalent basis with an average grade of 5.5g/t on a gold equivalent basis.

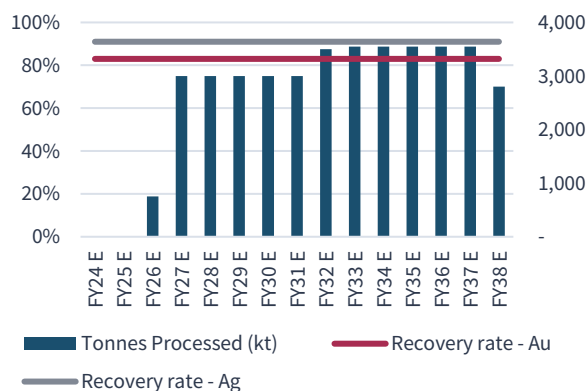
The fleet will consist of 400t and 200t excavators with mining on 10m benches that will be mined in three flitches. Seasonality will have an impact on mining rates and will be concentrated in months with no snowfall with reduced operations during winter. The waste storage facility is designed to fill the valley from the primary crusher towards the plant on the western side of the pits. Waste material from the pits will either be sent to the Potentially Acid Generating (PAG) or Non Acid Forming (NAG) dumps. The NAG waste will be stored to the west of the pits with a total capacity of 167Mt. The PAG waste and contact site water will be stored in the permitted tailings storage facility.

Tailings Storage Facilities

Barrick Gold used the Tom MacKay Lake (TMSF) for subaqueous tailings disposal due to the PAG nature of produced tailings from Eskay Creek. In 2002, the BC Government classified the lake as a tailings impoundment area in accordance with the Fisheries Act. Given this permitting, the TMSF is the preferred tailings storage option as it has sufficient capacity to contain all of the material produced during the operations life with a capacity of greater than 40Mt of tailings and 153Mt of PAG. Tailings will be fed into the TMSF in a slurried form from the process plant via a floating barge with the pipe extending close to the lake bed in order to maximise settling and minimise entrainment of fine particles to the surface of the TMSF. A minimum water depth is required to ensure that the tailings are not agitated by wave or ice activity. A series of embankments will be built to maintain the minimum water depth coverage and thus allow LoM tailings to be stored. The designed embankments meet and exceed minimum design standards and takes account of the active-faulting nature of the region. The embankment will withstand the maximum potential earthquake without tailings release. Tailings will be deposited in the southern end of the TMSF and PAG will be deposited in the northern end. The TMSF will also supply water to the processing plant with additional water drawn from local aquifers. Surplus water from the TMSF will be fed into a water treatment plant for removal of metals prior to discharge.

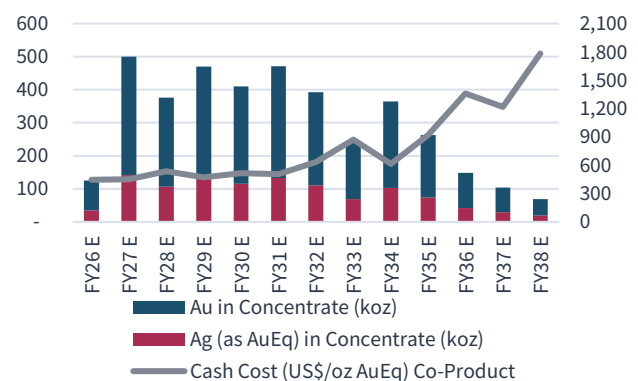
Processing

Total tonnes processed (kt) and expected recovery rates to concentrate for gold & silver (%)



Source: Company Reports, H&P estimates

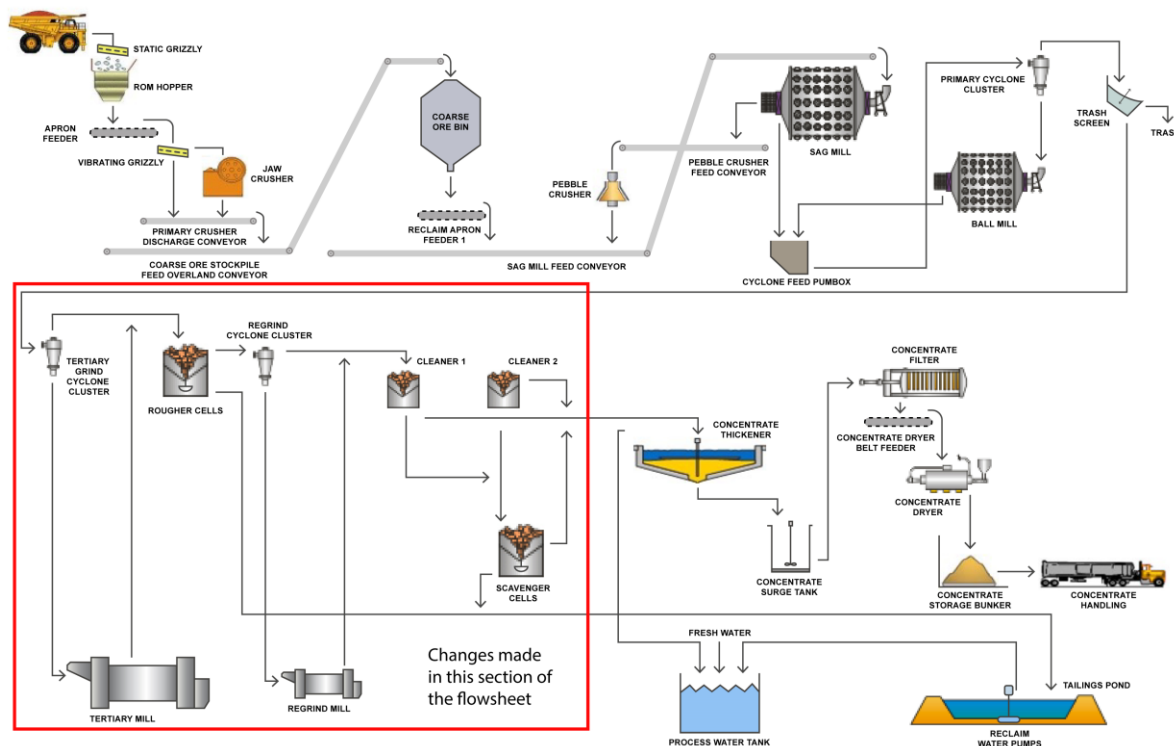
Gold (koz) and silver (koz AuEq) contained in produced concentrate and cash-costs



Source: Company Reports, H&P estimates

The process plant is designed to be able to process 3Mt-3.5Mt of mill feed per year to flotation concentrate with an average head grade of 82g/t Au and 55 g/t Ag. One of the key points of differentiation between the 2022 and 2023 study is the optimisation of the metallurgical flowsheet. This determined that the optimal primary grind was 40µm before rougher flotation with a post flotation regrind to 10µm. The new circuit design has a lower mass yield to concentrate of 3.9% versus 6.8% with an average concentrate grade of 55g/t gold and 1,595g/t silver. This drives a C\$400m reduction in treatment and transport charges over the life of the mine, while also potentially increasing base metal concentrations to payable levels while also reducing the level of some deleterious to below the level where penalties are applied.

Eskay Creek process flowsheet



Source: Company Reports

The process consists of the following stages:

- Crushing:** ROM material will be transported via haul trucks from the open pit mines to the surface primary crusher. This material will feed a dump pocket via a stationary grizzly. Grizzly oversize will be broken by a rock breaker. Grizzly undersize will be discharged to a dump hopper and fed via feeder to the primary jaw crusher. Crushed product will be transported by conveyor belt to a stockpile.
- Grinding:** Crushed mill feed will be taken from the stockpile via two belt feeders and fed along a conveyor to the SAG mill with a pebble crusher. Secondary grinding will take place in a ball mill, the products of which are then combined with any SAG mill undersize to form a slurry that is then fed to the primary cyclone. Cyclone underflow will be fed back to the ball mill, overflow will enter the flotation circuit. The ore is moderately hard during the early years of the mine's life with a bond work index of 14.1kWh/t becoming very hard in the later years of

operation at 24kWh/t as more material from the 22 zone is mined. The circuit will use a 6.1MW SAG mill, a 7.9MW ball mill.

- **Flotation and regrinding:** Cyclone overflow will feed into a bank of rougher floatation cells which will produce a concentrate that is fed into a two stage cyclone. Secondary grinding is then carried out in a 6MW tertiary mill and a regrind mill reducing the particle size to 10µm. This is followed by scavenger flotation, fed from the slimes circuit underflow fines.
- **Concentrate Dewatering:** Flotation concentrate will be thickened and further dewatered in pressure filters to a moisture content of 12%. The dewatered concentrate will discharge to a covered storage area. Dedicated front-end loaders will load the concentrate into road tractor trailers which will be weighed prior to transportation.

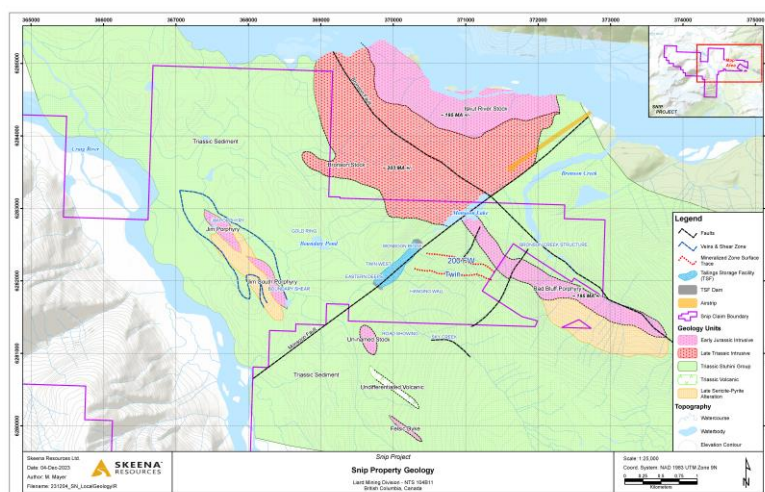
The average LoM recovery rates to concentrate for gold and silver are expected to be 83% and 91%, respectively.

Snip

Snip, like Eskay Creek, is situated in the Golden Triangle region of British Columbia. The asset is roughly 50km west of Eskay Creek near the Alaskan border on the edge of the Iskut River. The topography is relatively flat as the project lies on the valley floor. Mineralisation at Snip was discovered in 1964 but was not drilled until 1986. These drill results caused an increase of interest in the Golden Triangle region which led to Barrick Gold's development of Eskay Creek. During Snip's mine life from 1991 to 1999, 1.1Moz of gold were produced from an underground operation at an average grade of 27.5g/t Au.

Production was halted at the mine historically due to transport difficulties and low gold prices. The mine was serviced by the Bronson airstrip and by hovercraft from Alaska up the Iskut River. Like Eskay Creek the deposit should now benefit from access to both cheaper power and improved regional infrastructure; The Stewart-Cassiar highway north from Smithers has been paved making it suitable for haulage and the 195MW Forest Kerr hydroelectric facility is only 25km to the east. The Stewart port now has facilities capable of supporting export of produced concentrate.

Snip project geology



Source: Company Reports

Resource

Skeena published an updated resource for Snip in September 2023 that included a 46,268m of drilling over 307 holes. This delineated an indicated resource of 823koz at 9.35g/t and an inferred resource of 114koz at 7.1g/t. This will form the basis of the economic study for Snip that should be completed in H1 2024 that will evaluate its potential to be a satellite source of ore. Metallurgical work on the Snip ore suggests that there are no deleterious elements and that standard recovery using cyanide processing would have recoveries of 95.5%-98.3% and recoveries of 85.1% -96.4% through a combined gravity and flotation concentrate.

Snip Resource		t	Au g/t	koz
Indicated	Main V	850	9.59	262
	Man S	1,718	9.28	513
	Twin West	171	8.69	48
		2,739	9.35	823
Inferred	Main V	115	7.38	27
	Man S	323	6.22	65
	Twin West	61	11.02	22
		499	7.10	114

Source: Company Reports

Geology

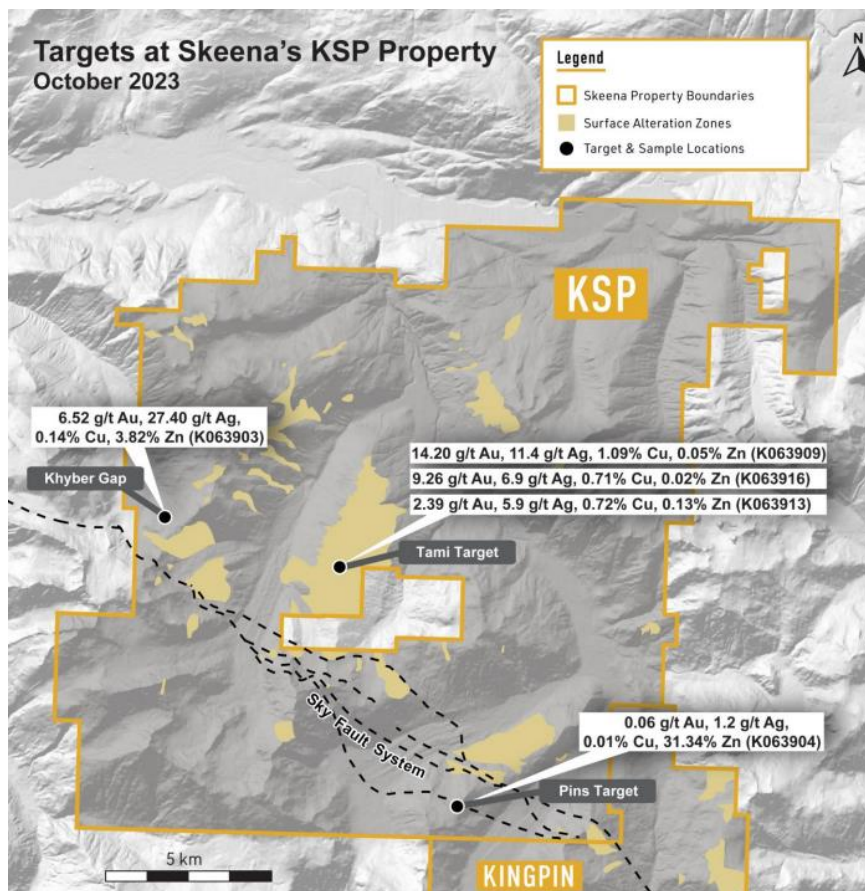
The Snip deposit is hosted in a gold bearing series of structurally controlled vein and brittle-ductile shear system within a sedimentary sequence. The main southwest-dipping vein structure is hosted within the Upper Triassic Stuhini Group feldspathic meta-sediments that are intruded by Early Jurassic age stocks and plutons. The Snip deposit forms part of the Bronson structural corridor, a feature that defines other significant Iskut River region deposits.

Historically, ~60% of the production was obtained from the Twin Zone, a sheared quartz-carbonate-sulphide vein system 0.5-15m across that truncates and intersects a bedded feldspar-rich greywacke-siltstone sequence. The remainder of production is accounted for by other sub-parallel structures located in the footwall to the Twin Zone. The Twin Zone's name derives from the fact that a barren, post-mineralisation dyke divides the main vein into two parts for the majority of its lateral extension.

The gold-bearing mineralogy occurs in 1-100cm wide alternating bands of massive calcite, disseminated to massive pyrite, biotite-calcite as thin bands or streaks, or in quartz with sulphides in a crackle breccia or pyritic to non-pyritic fault gouge. The total sulphide content rarely exceeds 2% and the mineralised structures characteristically contain minor pyrrhotite, arsenopyrite, sphalerite, chalcopyrite and rare galena.

KSP Property

KSP is located to the south of Eskay Creek



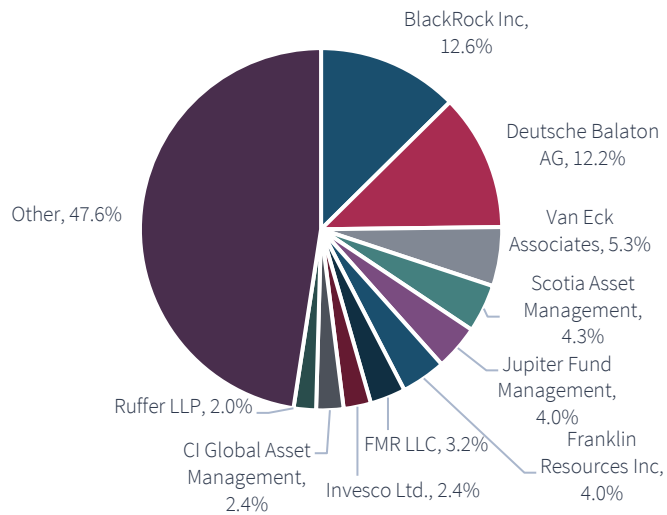
Source: Company Reports

KSP, which is 100% owned by the company and covers 64,000Ha in British Columbia that is within 24km of the Eskay Creek project. The project was acquired through the acquisition of QuestEx Gold and Copper in 2022. KSP is an early stage exploration project where the company has carried out stream sediment sampling to identify geochemical anomalies in addition to geological mapping, sampling and prospecting to identify potential targets and the source, size and scale of mineralisation. Work to date has identified potential porphyry, skarn and epithermal mineralisation across the project area. Better grab sample results from the 2023 programme include 14.2g/t gold, 11.4g/t silver and 1.09% copper from the Tami target, 6.52g/t gold, 27.4g/t silver and 3.82% zinc from the Khyber target and 31.34% zinc from the Pins target. Tami hosts strongly quartz-sericite-pyrite altered andesitic volcanic rocks that is interpreted as having a deeper intrusive beneath the andesitic cover. Khyber Gap hosts polymetallic sediment hosted replacement style mineralisation. Pins is centred on a quartz-sericite-pyrite alteration zone that may represent the top of a hydrothermal system of porphyry centre. KSP is an early stage project that has potential to yield large scale new discoveries.

Appendices

Corporate Overview

Skeena Resources – Major Shareholders



Source: Company Reports

Shareholders	Number of Shares (Million)	% of Total Shares
BlackRock Inc	11.2	12.6%
Deutsche Balaton AG	10.9	12.2%
Van Eck Associates	4.7	5.3%
Scotia Asset Management	3.8	4.3%
Jupiter Fund Management	3.6	4.0%
Franklin Resources Inc	3.6	4.0%
FMR LLC	2.8	3.2%
Invesco Ltd.	2.2	2.4%
CI Global Asset Management	2.2	2.4%
Ruffer LLP	1.8	2.0%
Other	42.5	47.6%
Total	89.3	100%

Source: Bloomberg December 2023

Board of Directors & Key Management

Name	Title	Tenure	Profile
Walter Coles	Executive Chairman	1 year 1 month as Executive Chairman , 9 years 10 months (Director)	- Serving as Executive Chairman of Skeena since October 2022 - Previously held the position of President & CEO of the company for 8+ years - Mr. Coles has several years of experience working in the mining industry and has served as CEO & President for several Toronto Venture Stock Exchange listed junior mining exploration and development companies - Prior to that, he worked as Analyst for Cadence Investment Partners for 2 years, and before that as a Senior Research Analyst at UBS Investment Bank in New York - Holds a B.A. in Economics from the University of Richmond
Randy Reichert	President, CEO & Director	1 year as President & CEO, 2 years as Director	- Mr. Reichert has 30 years of experience in the mining industry - He was appointed as President of Skeena in April 2022 and as CEO in October 2022 - Previously, he worked as VP, Operations at B2Gold, where he oversaw their three international gold operations, and prior to that, he was the General Manager at their Fekola Mine in Mali - Began his career with Cominco in Canada working at various operations including the Snip Mine, and later embarked on international work with Bema Gold, Oriel Resources, and other junior companies in executive roles - He has led construction or development projects in Russia, Brazil, Nevada, and Kazakhstan and has experience as a consultant assisting with due diligence for mine financings for Canadian financial groups - Has a BASc in Mining and Mineral Processing, an MScEng in Rock Mechanics, a Graduate Diploma in Business Administration and is a Professional Engineer
Craig Parry	Director	6 years, 10 months	- Mr. Parry has served as CEO, President & Chairman for several Australian and Toronto Venture Stock Exchange listed mining companies - Currently holds several key positions, including Chairman & shareholder of Vizsla Silver Corp; Chairman & Co-Founder of Inventa Capital; Co-Founder, Director & former CEO of Iso Energy; and Shareholder-General Partner (former Senior Advisor & Founding Partner) of EMR Capital; among others - Holds an Honours Degree in Geology from the University of New South Wales and is a Member of the Australian Institute of Mining and Metallurgy
Suki Gill	Director	3 years, 10 months	- Ms. Gill is a Chartered Accountant with 19 years' experience - Specializes in providing assurance services to publicly traded companies operating in the resource industry, as well as private companies across industries in Canada and the US - Currently serves as a partner at Smythe LLP and is on the board of directors for Provincial Health Services Authority and BC Emergency Health Services
Greg Beard	Director	3 years, 3 months	- Mr. Beard has 25 years of investment management experience - Currently holds several key roles, including Chairman & CEO of Beard Energy Transition Acquisition Corp and Co-chairman & CEO of Stronghold Digital Mining - Also serves on the board of DoublePoint Energy and EP Energy

Name	Title	Tenure	Profile
			- Previously he was Global Head of Natural Resources, Senior Partner and Member of the Management Committee at Apollo Global Management where he oversaw all investment activities in the energy, metals and mining and agriculture sectors - Prior to that, he was at Riverstone Holdings as a Founding Member and Managing Director - Completed Bachelor of Arts degree from the University of Illinois at Urbana
Nathalie Sajous	Director	5 months	- Ms. Sajous has extensive experience leading teams and advising partners on the application of digital technologies - Currently holds the position of Managing Director, Global Partnerships at Google and previously she worked at Microsoft and Disney - She has built a legacy on innovative change and development in her two-decade career, differentiating new strategies for business developments - Having partnered with F1000 companies, she has led ample digital strategies and data intelligence capabilities - Holds a BA from Harvard and a Masters of Business Administration from UCLA Anderson School of Management
Andrew Macritchie	CFO	7 years, 4 months	- Mr. MacRitchie is a Chartered Professional Accountant who has held management roles in several TSX Venture-listed mining companies over his 20+ year career and assisted those companies in raising over \$400m - Began his career with PricewaterhouseCoopers and has since gathered experience working on gold, silver, diamond and base-metals projects in North America, South America, Africa, Europe and Asia - Holds a Bachelor's in Science – Physics from The University of British Columbia
Justin Himmelright	SVP, External Affairs & Sustainability	6 years, 1 month	- Mr. Himmelright has over 25 years of experience in environmental management and developing social licence for natural resource projects - Currently serves as an Adjunct Professor at the UBC Norman Keevil Institute of Mining Engineering on the topic of Indigenous peoples and mining in Canada - Previously served as Vice President at C3 Alliance Corp, Vice President, Environment and Community Affairs at Selwyn Resources Ltd, President at Siden Consulting Ltd, and Board member of the Yukon Mine Training Association and the Autism Society of BC - Graduated from Simon Fraser University (B.Sc.) and the University of British Columbia (M. Eng.) and is a Registered Professional Biologist in BC
Paul Geddes	SVP, Exploration & Resource Development	5 years, 8 months	- Mr. Geddes has more than 20 years of exploration and resource development experience in precious and base metals with a focus on economic geology - Previously he held senior roles with major and junior mining companies including Noranda Mining and Exploration, Teck Exploration, INCO Technical Services, North American Palladium, Rainy River Resources and Barkerville Gold Mines

Name	Title	Tenure	Profile
			- During his tenure at Rainy River Resources, he was an instrumental member of the team responsible for a ten-fold increase in global gold resources prior to the Company's takeover by New Gold in 2013 - He is a registered professional geoscientist and member in good standing of EGBC
Scott Fulton	VP, Construction & Engineering	10 months	- Mr. Fulton has over 15 years of experience with mine development - Most recently served as VP of Project Development with NorZinc at the Prairie Creek Zinc, Lead, Silver Mine in the Northwest Territories, Canada and prior to that, he worked for consultancies Wood, Hatch, and Hemmera - Notable projects he has worked on include New Afton, Kitsault, Mount Emmons, Brucejack, Rainy River and Carlsbad East - Holds B.Eng Hons in Mechanical Engineering and is a Professional Engineer in the Province of British Columbia
Nalaine Morin	VP, Sustainability	1 year, 2 months	- Ms. Morin has extensive technical experience in both mining and environmental assessment processes - She is a nationally recognized professional that has managed environmental reviews of several large resource development projects on behalf of Indigenous Nations - Currently serves as a board member of BC Hydro - Prior to joining Skeena, she was the Lands Director for the Tahltan Central Government - She has been recognized for her leadership as recipient of the 2021 Skookum Jim Award, 2018 Indigenous Trailblazer Award and the 2018 Aura Award - Holds a Bachelor of Applied Science degree from the University of British Columbia and a Mechanical Engineering Technology Diploma from the British Columbia Institute of Technology
Adrian Newton	VP, Exploration	10 months	- Mr. Newton has over 18 years of precious metals focused international experience - Served in senior roles with junior exploration through to major mining companies, including Barrick, Fortuna Silver Mines, Calibre Mining and Balmoral Resources - He has worked through North, Central and South America on generative exploration to development stage projects with a focus on epithermal, porphyry, skarn, intrusive-related, sediment-hosted, VMS and orogenic deposit model types - Prior to becoming VP at Skeena, he served as its Exploration Manager - Holds a Bachelor of Science in Earth Sciences from Simon Fraser University and is a registered professional geoscientist in good standing with Engineers and Geoscientists British Columbia
Kanako Motohashi	VP, People & Culture	1 year, 2 months	- Ms. Motohashi has several years of experience in senior HR roles, previously at Goldcorp (Newmont Mining) and most recently Vancouver Film School - She has extensive experience in HR process optimization and shifting culture by building collaborative partnerships, finding the balance between business needs and employee experience, and being a compassionate and inclusive leader

Name	Title	Tenure	Profile
			▪ Holds a Bachelor of Arts degree from the University of British Columbia in Political Science and a Post Diploma, Technology in Human Resources Management from the British Columbia Institute of Technology • Also holds professional Human Resources designation (CPHR)

Source: LinkedIn, Company Website

Company History

- **13th September 1979:** Incorporated as Progress Petroleum Ltd. in accordance with the Company Act (British Columbia)
 - Changed its name to Prolific Petroleum Ltd. On 24th October 1979, then to Prolific Resources Ltd. on 8th June 1987 and finally, to Skeena Resources Limited on 4th June 1990
- **1997:** Announced they would focus on precious metals exploration in Canada and Europe but by 2000 the firm decided to focus on Canada due to precious metal price volatility
- **2003:** After a brief stint pursuing drill ready diamond exploration, the firm returned to gold exploration off the back of improved metal prices that better suited minor exploration companies
- **18th December 2013:** Announced a board reorganisation and Walter Coles Jr. was elected to the board, simultaneously taking on the roles of President and CEO.
- **28th April 2014:** Acquired High-Grade Spectrum Gold Property, Northwest B.C. The 3,580-hectare property contains more than 10 different showings of high-grade sulphide-gold mineralisation
- **23rd June 2014:** Proposed to raise \$2.5m in private placement financing
- **21st April 2015:** Announced \$4m private placement financing
 - In April 2015, increased the size of the financing to \$6.5m from \$4m, and it was further increased to \$8.1m with the addition of a \$1.5m investment from Boss Power Corp.
- **2nd June 2015:** Closed \$8.1m funding, and received three-year exploration permit + mobilises drills to Spectrum Gold Project later in the same month
- **6th October 2015:** Acquired GJ Copper-Gold Project from majority owner Teck Resources Limited and its 49% JV partner, NGEx Resources Inc.
- **13th October 2015:** Announced \$6m private placement financing
- **23rd March 2016:** Secured option to acquire the past-producing, high-grade Snip gold mine in northwest British Columbia from Barrick Gold
- **9th June 2016:** Announced \$6m private placement financing
- **10th August 2016:** Announced the acquisition of Mount Rainey Silver. Its primary asset was the portfolio of 46 Crown-granted mineral claims covering the past-producing, underground Prosperity – Porter Idaho – Silverado silver property located in the Golden Triangle of northwest British Columbia
- **24th January 2017:** Signed a communications agreement with Tahltan Central Government which provides guidance to the parties for ongoing

discussion and engagement regarding Skeena's projects in Tahltan traditional territory

- Later in September 2017, the two parties signed an exploration agreement
- **23rd May 2017:** Announced marketed private placement of C\$5m
- **31st July 2017:** Exercised its option to acquire 100% of Snip Gold Project from Barrick Gold
- **2nd October 2017:** Announced \$6m strategic investment from Gold Mountains Asset Management Co., Ltd., a subsidiary of Zijin Mining Group Company Limited of China and certain clients and affiliates of the Sprott Group
- **18th December 2017:** Secured an option to acquire the Eskay Creek property from Barrick Gold and announced strategic investment of C\$1m from Barrick
- **13th March 2018:** Announced \$6m private placement financing, this was oversubscribed, and lead to the offering being upsized to C\$8.4m
- **3rd April 2018:** Initiated phase 2 underground drilling at Snip Project. This program totalled 11,000m, and was performed from existing underground infrastructure using two drilling rigs
- **16th July 2018:** Sold Porter Idaho Silver Project, receiving 9,500,000 common shares in Strike Point, as well as a total of \$1,500,000 in cash
- **19th September 2018:** Received investment of C\$6.8m from Hochschild Mining in return of 8.3% stake in Skeena
 - In addition, Skeena granted Hochschild an option to earn a 60% undivided interest in the Company's Snip Gold Project
- **26th March 2019:** Initiated metallurgical optimisations and preliminary economy assessment for Eskay Creek
- **2nd April 2019:** Announced C\$1.5m private placement which was oversubscribed at C\$2m; the net proceeds of which will be used to fund advancement of the Eskay Creek Project
- **27th June 2019:** Announced C\$5m private placement, the net proceeds of which will be used to fund exploration activities in the Golden Triangle of British Columbia
- **7th August 2019:** Commenced drilling at Eskay Creek Gold-Silver Project. The Phase I 2019 drill program initially focussed on converting pit constrained Inferred resources to Indicated resources via infill of several zones, and planned to cover 15,000m over 200 drill holes with an average drilling depth of 75m
- **25th November 2019:** Announced C\$15m private placement, the proceeds of which will continue to fund the projects in the Golden Triangle of

British Columbia. On closing, this private placement was oversubscribed at C\$16m

- **4th February 2020:** Announced the sale of GJ Copper-Gold Property to Newcrest Red Chris Mining Limited for C\$7.5m
- **10th March 2020:** Announced C\$20m private placement, which was upsized, due to strong demand, to C\$33.3m
- **4th August 2020:** Signed definitive agreement with Barrick Gold to acquire Eskay Creek gold-silver project; with this transaction, Barrick became a significant shareholder in Skeena
- **10th November 2020:** Launched an overnight marketed public offering seeking gross proceeds of C\$35m; this was later upsized to C\$40m and closed at C\$46m after the over-allotment option was exercised fully
- **15th December 2020:** Announced C\$8.5m private placement offering
- **24th February 2021:** Announced C\$20m flow-through private placement
- **31st March 2021:** Announced C\$5m investment from Tahltan Central Government
- **10th May 2021:** Announced C\$50m bought deal public offering, which closed at C\$57.5m after the over-allotment option was exercised
- **4th June 2021:** Announced that, in anticipation of pursuing a listing on the New York Stock Exchange, the Company will consolidate its common shares at a ratio of four pre-consolidation shares to one post-consolidation share
 - The Company's 243,810,333 shares were consolidated to c. 60,952,583 shares
- **9th September 2021:** Announced C\$7m private placement offering
- **4th October 2021:** Initiated phase ii drilling program at Eskay Creek Albino Waste facility; the program is designed to test the Au-Ag grade potential
- **15th October 2021:** Received option notice from Hochschild on Snip Gold project
- **27th October 2021:** Received listing authorization from the NYSE and began trading on it on 1st November 2021 under ticker symbol "SKE"
- **13th December 2021:** Announced C\$30.9m private placement offering from Franco-Nevada Corporation
- **24th March 2022:** Announced proceeds of C\$30.4m from the exercise of 2,812,500 warrants held by Barrick Gold
- **30th March 2022:** Announced acquisition of QuestEx Gold & Copper Ltd. For C\$48.6m and concurrent sale of QuestEx Assets to Newmont for C\$27m
- **6th June 2022:** Agreement between British Columbia and Tahltan Central Government. Following the agreement Eskay Creek will be the first project to have permits authorised by an indigenous government.

- **16th September 2022:** Announced C\$30m bought deal financing, which was closed at C\$34.5m
- **26th September 2022:** Repurchased the 0.5% net smelter return royalty held by Barrick Gold, on the Eskay Creek gold-silver Project at a cost of C\$17.5m
- **22nd November 2022:** Announced the discovery of new Rhyolite-hosted mineralization near mine exploration drilling campaigns at the Eskay Creek gold-silver Project
- **3rd January 2023:** Closed a royalty sale with Franco-Nevada, pursuant to which Skeena granted a 0.5% net smelter returns royalty on the Eskay Creek gold-silver Project to Franco-Nevada in exchange for a closing cash consideration of C\$27m and contingent cash consideration of C\$1.5m
- **17th January 2023:** The company signed a Process Charter with the Tahltan Central Government and the Government of BC that set out the workplan to collaborate on the environmental and permitting process for Eskay Creek.
- **5th April 2023:** Hochschild Mining terminated its option to earn into 60% of the Snip Gold Project in the Golden Triangle of British Columbia, resulting in Skeena reassuming management of the Project and retaining 100% ownership
- **16th May 2023:** Announced C\$64m bought deal financing, which was later closed at C\$73.5m
- **20th June 2023:** Announced increase in Eskay Creek Resource to 5.9Moz AuEq in measured and indicated categories
- **5th September 2023:** Announced increase in indicated resources at Snip to 823,000oz Au, representing a growth of 237% since the 2020 MRE
- **14th November 2023:** DFS announced for Eskay Creek project

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